Internal Audit Report

تقرير التدقيق الداخلي

Q3 - 2017

الفصل الثالث ٢٠١٧

Byblos Bank Syria

بنك بيبلوس سورية

To the Audit Committee Members:

- Mr. Muhammad Marwan Al Hakim
- Mr. Selim Stephan
- Mr. Nader Kalai

إلى أعضاء لجنة التدقيق:

- السيد محمد مروان الحكيم
- السيد سليم اسطفان
- السيد نادر قلعي

cc:

- Mr. Alain Wanna, Chairman of the Board
- Mr. Georges Sfeir, General Manager
- Mr. Karam Bechara, DGM - Head of Commercial & Retail Banking
- Mr. Walid Kazan, AGM - Head of Foreign Banking Units Support - BBL
- Mr. Fadi Abou-Abdallah, Head of Group Internal Audit

نسخة إلى السادة:

- السيد ألان ونّا، رئيس مجلس الإدارة
- السيد جورج صفير، المدير العام
- السيد كرم بشارة، نائب مدير عام - مدير مديرية التسليف التجاري ومديرية قروض التجزئة
- السيد وليد قازان، مدير عام مساعد - مدير دعم الوحدات المصرفية الخارجية لمجموعة بنك بيبلوس
- السيد فادي أبوعبدالله - مدير التدقيق الداخلي لمجموعة بنك بيبلوس

Prepared by:

- Talal Aboulchamat, Head of Internal Audit - BBS

أعدّ من قبل:

- طلال أبو الشامات - مدير التدقيق الداخلي في بنك بيبلوس سورية

Reflects status of the bank as at September 30, 2017 and issued on November 29, 2017

هذا التقرير يظهر وضعية بنك بيبلوس سورية بتاريخ ٣٠ أيلول ٢٠١٧ وصادر بتاريخ ٢٩ تشرين الثاني ٢٠١٧

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INTRODUCTION

In the third quarter of 2017, we followed-up on all outstanding issues at BBS. The table below shows the number of issues raised by Internal Audit & CBoS, the number of issues solved by BBS Management, and the number of issues that were still outstanding as at September 30, 2017.

مقدمة

في الربع الثالث من العام ٢٠١٧، تمّت متابعة جميع النقاط العالقة في بنك بيبلوس سورية. إنّ الجدول المبيّن أدناه يظهر عدد نقاط الضعف التي تمّت الإشارة إليها من التدقيق الداخلي ومصرف سورية المركزي، وعدد النقاط التي تمّ تصويبها، وتلك التي ما زالت عالقة حتّى تاريخ ٣٠ أيلول ٢٠١٧.

PROCESS BASED AUDIT ISSUES

	Q2 2017	Added	Solved	Adj *	Q3 2017
IT Audit					
High	2	0	1	-1	**0**
Medium	11	0	1	-3	**7**
Low	14	0	5	4	**13**
Total	**27**	**0**	**7**	**0**	**20**
Operations Audit					
High	4	0	0	-2	**2**
Medium	18	0	6	-3	**9**
Low	15	0	2	5	**18**
Total	**37**	**0**	**8**	**0**	**29**
Credit Review					
High	0	0	0	0	**0**
Medium	9	0	1	-7	**1**
Low	2	0	0	7	**9**
Total	**11**	**0**	**1**	**0**	**10**
CBoS Issues					
High	0	0	0	0	**0**
Medium	11	0	3	0	**8**
Low	0	0	0	0	**0**
Total	**11**	**0**	**3**	**0**	**8**
Total					
High	6	0	1	-3	**2**
Medium	49	0	11	-13	**25**
Low	31	0	7	16	**40**
Total	**86**	**0**	**19**	**0**	**67**

AGING IN MONTHS

	0-6	06-12	12-24	>24	Total
IT Audit					
High	0	0	0	0	**0**
Medium	0	2	0	5	**7**
Low	0	4	0	9	**13**
Total	**0**	**6**	**0**	**14**	**20**
Operations Audit					
High	0	1	1	0	**2**
Medium	0	1	0	8	**9**
Low	0	3	1	14	**18**
Total	**0**	**5**	**2**	**22**	**29**
Credit Review					
High	0	0	0	0	**0**
Medium	0	1	0	0	**1**
Low	0	6	1	2	**9**
Total	**0**	**7**	**1**	**2**	**10**
CBoS Issues					
High	0	0	0	0	**0**
Medium	0	0	0	8	**8**
Low	0	0	0	0	**0**
Total	**0**	**0**	**0**	**8**	**8**
Total					
High	0	1	1	0	**2**
Medium	0	4	0	21	**25**
Low	0	13	2	25	**40**
Total	**0**	**18**	**3**	**46**	**67**

BRANCH AUDIT ISSUES **

	Q2 2017	Added	Solved	Adj *	Q3 2017
High	19	5	3	-1	**20**
Medium	34	7	6	0	**35**
Low	37	6	8	1	**36**
Total	**90**	**18**	**17**	**0**	**91**

** Adjusted issues include upgraded, downgraded and merged issues*

*** Compliance based issues where the count may include the same issue recurring in several branches*

GENERAL OVERVIEW

CBoS Monetary & Credit Council Decisions/ Circulars

- CBoS decision No. 1296 & related amendments (ref. 1385) stated that incoming transfers received for clients for their personal uses should be disbursed exclusively in Syrian Pounds. However, for any client's incoming transfer less or equal to USD 500 or foreign currency selling below or equal to USD 100 (one time transaction per month), the counter value in Syrian pounds should be either granted to client in cash or credited into client's account.

  As for the above mentioned transactions greater respectively than USD 500 & USD 100, banks should credit the counter value in a transitory account "beneficiaries of personal incoming transfers - 3 months" opened in Syrian pounds (SYP). Subsequently, banks have the following four options:

  1- Transfer the SYP amount to client's deposit account with a maturity date at least three months.

  2- Deliver to client the amount in SYP after three months from the date of crediting the transfer into the above mentioned transitory account.

  3- Transfer the SYP amount to the client's account in another bank with a commitment from the other bank not to deliver the amount to the client before three months from the date of receiving the transfer.

  4- The beneficiary of the transfer or currency exchange can make use of the blocked SYP amount before the maturity of 3 months, by granting him a short term financing in SYP for the same amount; whereby 10% of the granted amount will be deducted upon disbursement and kept in an account dedicated to CBoS (among which 1% will be retrieved by the Bank as a commission).

  In case of the above mentioned facilities, appropriate reporting should be performed.

نظرة عامّة

قرارات وتعاميم مصرف سورية المركزي ومجلس النقد والتسليف

- نصّ قرار مصرف سوريّة المركزي رقم ١٢٩٦ وتعديلاته (رقم ١٣٨٥) على أنّه يجب صرف الحوالات الواردة للزبائن لاستخداماتهم الشخصية بالليرة السوريّة فقط. ومع ذلك، بالنسبة لأيّ حوالة واردة من العميل تساوي أو تقل عن ٥٠٠ دولار أمريكي أو شراء قطع أجنبي بقيمة تساوي أو تقل عن ١٠٠ دولار أمريكي (معاملة واحدة في الشهر)، يجب أن تمنح قيمتها المعادلة بالليرة السوريّة للعميل نقداً أو تقيد في حساب العميل .

أمّا بالنسبة للمعاملات التي تزيد عن المذكور أعلاه، على التوالي عن ٥٠٠ دولار أمريكي و ١٠٠ دولار أمريكي، فيجب على البنوك أن تقيّد القيمة المقابلة في حساب وسيط "استحقاقات المستفيدين من حوالات شخصية لثلاثة أشهر" المفتوح بالليرة السورية. وبالتالي، لدى المصارف أحد الخيارات الأربعة التالية:

١ - تحويل القيمة بالليرات السوريّة إلى حساب وديعة للمستفيد على ألاّ تقلّ مدّتها عن ثلاثة أشهر .

٢ - تسليم القيمة بالليرات السورية شرط مرور ثلاثة أشهر على قيدها في حساب وسيط.

٣ - تحويل القيمة بالليرات السوريّة إلى حساب المستفيد لدى أيّ مصرف عامل أخر مع إلتزام هذا المصرف بعدم تسليم هذه القيمة قبل مرور ثلاثة أشهر على تاريخ ورودها إليه.

٤ - يمكن للمستفيد من أيّ حوالة أو عملية تصريف إن رغب باستخدام مبلغ الحوالة المحتجزة بالليرة السوريّة قبل تاريخ الإستحقاق ٣ أشهر وذلك من خلال منحه تمويل قصير الأمد مقابل قيمتها بالليرة السوريّة لنفس المبلغ. حيث سيتمّ خصم ١٠٪ من المبلغ الممنوح عند إجراء عملية التمويل ويتمّ الإحتفاظ به في حساب خاص (مصرف سوريّة المركزي) وسيتمّ استرجاع ١٪ منه كعمولة للمصرف.

ينبغي إعداد التقارير المناسبة، في حال تمّ منح التسهيلات المذكورة أعلاه.

With regards to the above mentioned decision, we recommend BBS Management to review the transfer and cash processes/procedures and ensure that adequate control measures are implemented to abide by the new regulations related to foreign currencies.

فيما يتعلّق بالقرار أعلاه، نوصي إدارة بنك بيبلوس سوريّة بمراجعة إجراءات النقد والتحويلات وتطبيق رقابة كافية للإلتزام بالقرارات الجديدة المتعلّقة بالعملات الأجنبية.

Mr. Karam Bechara - DGM

CBoS issued a set of decisions regarding the exchange transactions and the incoming transfers. BBS designed a specific workflow and simple internal procedures to execute the FX transactions in compliance with CBoS requirements including the needed control by Treasury and Branch Coordination Units.

جواب السيّد كرم بشارة نائب المدير العام

أصدر مصرف سوريّة المركزي مجموعة من القرارات المتعلّقة بعمليات القطع والتحويلات الواردة. صمّم بنك بيبلوس سوريّة إجراءات داخلية محدّدة وبسيطة لتنفيذ عمليات القطع الأجنبي بما يتوافق مع متطلبات مصرف سوريّة المركزي من ضمنها الرقابة اللازمة من قبل وحدة الخزينة ووحدة التنسيق بين الفروع.

- CBoS circular No. 7196 requires from banks operating in Syria to repatriate 10% of their investments with their parent, affiliated and sister companies according to their balances as of 31/07/2017, either by cash or through incoming transfers. BBS repatriated, through four cash shipments from Lebanon to Syria, an amount totaling USD 3.4M. An insurance policy was issued to cover the four shipments, and the insurance limits of both Abou Remmaneh and Mazzeh branches were increased to cover the received amount of cash.

  According to this circular, CBoS is currently developing further rules to reduce the banks' concentrations abroad.

- يطلب تعميم مصرف سوريّة المركزي رقم ٧١٩٦ من البنوك العاملة في سوريّة إعادة ١٠٪ من استثماراتها مع شركاتها الأم والشركات التابعة والشقيقة وفقا لأرصدتها كما في ٢٠١٧/٠٧/٣١ إمّا نقدا أو عن طريق حوالات واردة. أعاد بنك بيبلوس سوريّة من خلال أربع شحنات نقدية من لبنان إلى سوريّة، مبلغاً إجماليا قدره ٣.٤ مليون دولار أمريكي. وقد تمّ إصدار بوليصة تأمين لتغطية الشحنات الأربع، كما تمّ زيادة سقوف بوليصة التأمين لكلّ من فرعي أبو رمّانة و المزّه لتغطية المبالغ المستلمة من النقد.

  ووفقاً لهذا التعميم، يقوم مصرف سوريّة المركزي حالياً بوضع المزيد من القواعد للحدّ من تركزات البنوك في الخارج.

Mr. Karam Bechara - DGM

The CBoS advised us several time its intent to enforce and downsize of all Syrian banks' balances abroad as a preventive action in case any bank was subject to sanctions or freeze of accounts. BBS will abide by any further instructions/circulars in this regard.

جواب السيّد كرم بشارة نائب المدير العام

أبلغنا مصرف سوريّة المركزي عدّة مرّات عن نيّته لتقليص جميع أرصدة البنوك السوريّة في الخارج كإجراء وقائي في حال تعرّض أيّ بنك لعقوبات دولية أو تجميد للحسابات. سوف تلتزم إدارة بنك بيبلوس سوريّة بأيّ تعليمات أو تعاميم أخرى في هذا الصدد.

- Credit & Money Council decision No. 101 amended some requirements related to banks' concentrations abroad as follows:
  - The total on balance sheet exposure with the bank's group, including securities, should not exceed 100% of the Bank's net equities; provided that the total on & off balance

- عدّل قرار مجلس النقد والتسليف رقم ١٠١ بعض المتطلّبات المتعلّقة بتوظيفات وتركّزات البنوك في الخارج على النحو التالي:
  - يجب ألا يتخطّى إجمالي توظيفات المصرف وارتباطاته المالية الناشئة عن بنود داخل الميزانية مع مجموعته المصرفية، بما في ذلك الأوراق المالية، نسبة ١٠٠٪ من أمواله الخاصّة الصافية. وعلى ألا يتجاوز مجموع

sheet irrevocable exposure with the Bank's group does not exceed 150% of net equities.

- The total on balance sheet exposure with a financial institution and its groups abroad, including securities, should not exceed 100% of net equities; provided that the total on & off balance sheet irrevocable exposure does not exceed 100% of net equities.
- The maximum limit of total allowed FX position becomes 60% of Tier 1 Capital instead of 40%.
- Banks are allowed to keep the current structural FX position irrespective the maximum allowed limits.
- The exceptions pertaining to above ratios and granted to some banks remain valid till the dates fixed in the related decisions.
- Banks should liquidate excesses over said limits within ten months from decision reception (maximum 30/06/2018); provided that this reduction is performed gradually (min. 10% of excess per month).
- FX positions and FX rates should be closely monitored by the risk committee that should be reporting to the Board of Directors the risks resulting from the FX fluctuation.
- Board of Directors is requested to closely supervise the FX risks resulting from investments in foreign currencies and reduce when necessary related concentrations below the set limits.

Mr. Karam Bechara - DGM

BBS is complying with all the requirements. No breach in the exposure with the Group or in the FX positions.

- Credit & Money Council decision No. 52 set new requirements related to granting credit facilities in Syrian Pounds (e.g. financing projects or accepting collaterals located in unstable areas is strictly forbidden, maximum lending ratios by type of facilities are to be respected, etc.).

التعاملات في داخل وخارج الميزانية غير القابلة للإلغاء مع مجموعته المصرفية ١٥٠% من الأموال الخاصّة الصافية للمصرف.

- يجب ألاّ يتخطّى مجموع إيداعات وتوظيفات المصرف وارتباطاته المالية الناشئة عن بنود داخل الميزانية مع كلّ مؤسّسة مالية ومجموعتها المصرفية بالخارج بما في ذلك الأوراق المالية الصادرة عنها نسبة ١٠٠ % من أمواله الخاصّة الصافية. وعلى ألاّ يتجاوز مجموع التعاملات في داخل وخارج الميزانية غير القابلة للإلغاء ١٠٠% من الأموال الخاصّة الصافية للمصرف.
- تعديل الحدّ الأقصى المسموح به لمركز القطع الإجمالي ليصبح ٦٠٪ من مجموع صافي الأموال الخاصّة بدلاً من ٤٠٪.
- يسمح للمصارف بالإحتفاظ بمركز القطع البنيوي القائم حالياً بغض النظر عن الحدود القصوى المسموح بها.
- تبقى الإستثناءات المتعلّقة بالنسب المذكورة أعلاه والممنوحة لبعض البنوك سارية المفعول حتّى التواريخ المحدّدة في القرارات ذات الصلة.
- يجب على البنوك تصفية التجاوزات على الحدود المذكورة خلال عشرة أشهر من تاريخ استلام القرار (٢٠١٨/٠٦/٣٠ كحد أقصى)؛ شرط أن يتمّ هذا التخفيض تدريجياً (بحدّ أدنى ١٠٪ من الزيادة في الشهر).
- يجب مراقبة مراكز القطع وأسعار القطع عن كثب من قبل لجنة المخاطر التي يجب أن تقدّم تقاريرها إلى مجلس الإدارة عن المخاطر الناتجة عن تقلبات أسعار القطع الأجنبي.
- يجب على مجلس الإدارة أن يراقب عن كثب مخاطر تقلّبات أسعار القطع الناتجة عن الإستثمارات بالعملات الأجنبية وأن يخفض نسب تلك التركّزات عند الضرورة دون الحدود المقرّرة.

جواب السيّد كرم بشارة نائب المدير العام

إنّ بنك بيبلوس سوريّة متوافق مع جميع المتطلّبات. لا يوجد تجاوزات في التوظيفات مع مجموعة بنك بيبلوس أو في مراكز القطع الأجنبي.

- وضع قرار مجلس النقد والتسليف رقم ٥٢ متطلّبات جديدة تتعلق بمنح التسهيلات الإئتمانية بالليرة السوريّة (مثلاً تمويل المشاريع أو قبول الضمانات الموجودة في المناطق غير الآمنة أو غير المستقرة محظور تماماً، إحترام نسب الإقراض القصوى حسب نوع التسهيلات، الخ).

Also, new procedural requirements were set for housing loans in SYP, discounted bills in SYP, and trade finance activities.

Banks are requested to abide by the decision's requirements within one year. Accordingly, BBS related procedures should be updated.

كما تمّ تحديد ضوابط إجرائية جديدة للقروض السكنية بالليرة السورية، وحسم السندات بالليرة السورية، وأنشطة التمويل التجاري.

يطلب من المصارف الالتزام بمتطلبات القرار خلال سنة واحدة. وبناء على ذلك، ينبغي تحديث إجراءات بنك بيبلوس سورية المتعلقة بهذا القرار.

Mr. Karam Bechara - DGM

Decision 52 launched new criteria and restrictions on all lending activities. BBS will abide by all those restrictions and will amend all relevant internal procedures in order to be in compliance with new requirements.

جواب السيّد كرم بشارة نائب المدير العام

أطلق القرار ٥٢ معايير وضوابط جديدة على جميع أنشطة الإقراض. سوف يلتزم بنك بيبلوس سوريّة بجميع هذه الضوابط، وسوف تعدّل جميع الإجراءات الداخلية ذات الصلة كي تكون متماثلة مع المتطلبات الجديدة.

CBOS internal controller reports

During Q3 2017, CBoS internal controller issued eight reports pertaining to financial reports as of end of June, July, August 2017 & at end of Q2 2017, classification of loans and provisioning for Q2 2017, capital adequacy for the first half of 2017, and compliance to decision No. 28 related to credit facilities in terms of overdrafts in Syrian Pounds. The main observations:

1. Recurrence of the breach to CBoS decision #762, for selling to non-Syrian foreign currencies which were withdrawn cash instead of transfers. Management explained that currently transfers between BBS & BBL are stopped due to the imposed sanctions; this restriction does not allow performing any cross-border transfer *(Management reply was accepted in the internal controller report for August 2017)*.
2. Disbursement of loans in client's overdraft account instead of a current account.
3. A breach to CBoS decision No 28 for renewing credit files of an amount greater than SYP 50M, without obtaining BOD approval and informing CBoS afterwards *(CBoS internal controllers accepted Management reply since it is still a testing period)*.
4. Inaccurate calculation of unrealized profits resulting from the valuation of FX structural position.

تقرير المراقبين الداخليين لمصرف سوريّة المركزي

خلال الفصل الثالث من العام ٢٠١٧، أصدر المراقبون الداخليّون لمصرف سورية المركزي ٨ تقارير تتعلّق بنماذج الأوضاع الماليّة الصادرة عن أشهر حزيران، تمّوز، آب من العام ٢٠١٧ ونهاية الفصل الثاني من العام ٢٠١٧. إضافةً إلى تقارير تتعلّق بتصنيف الديون وتكوين المخصّصات عن الفصل الثاني من العام ٢٠١٧، ملاءة رأس المال عن النصف الأوّل من عام ٢٠١٧ وتقييم الإلتزام بالقرار رقم ٢٨ المتعلّق بضوابط منح التسهيلات الائتمانية على شكل حساب جاري مدين بالليرات السورية. من أبرز الملاحظات:

١. تكرار مخالفة القرار رقم ٧٦٢ لمصرف سورية المركزي لوجود حالات بيع القطع الأجنبي لغير السوريين وسحب المبلغ بشكل نقدي وعدم تنفيذ العملية بموجب حوالة. أوضحت الإدارة بأنّ الحوالات بين بنك بيبلوس سورية وبنك بيبلوس لبنان حالياً متوقّفة نتيجة العقوبات المفروضة وهذا الحظر لا يسمح بأيّ نوع من الحوالات (إعتبر ردّ الإدارة مقبولاً في تقرير المراقب المصرفي الداخلي عن شهر آب ٢٠١٧).

٢. تفعيل القروض الموافق عليها ضمن حساب الجاري المدين للعميل بدلاً من الحساب الجاري.

٣. مخالفة قرار المصرف المركزي رقم ٢٨ لناحية عدم الحصول على موافقة مسبقة من مجلس إدارة المصرف ومن بعدها إعلام مصرف سورية المركزي عند تجديده للملفات التي يزيد مبلغ التسهيلات فيها عن خمسين مليون ليرة سورية (إنّ المراقبين الداخليين لمصرف سورية المركزي قد قبلوا بجواب الإدارة بما أنّها ما زالت في مرحلة الإختبار).

٤. إحتساب غير دقيق للأرباح غير المحققة الناتجة عن تقييم مركز القطع البنيوي.

Mr. Karam Bechara - DGM

1- *Please note that the above transactions are related to our GM and the issue was no longer mentioned in subsequent reports.*
2- *It's something related to our internal procedures. Anyway, all overdraft accounts were closed by end of September following the decision 28 which enforced tough criteria on O/D.*
3- *Was solved with internal controller, we are now in compliance with decision 28.*
4- *Report No. 5 related to revaluation of Structural position should be amended in order to reconcile with the revaluation on the system. We sent a letter to CBOS explaining the difference but we didn't receive any reply so far. We received oral explanation from them during our meeting that most of banks have this difference and they are studying it for all banks.*

جواب السيّد كرم بشارة - نائب المدير العام

١ -*الرجاء أخذ العلم أنّ العمليات المذكورة أعلاه هي عائدة للسيد المدير العام وهذه الملاحظة لم تذكر في التقارير اللاحقة.*

٢ -*إنّه عائد لإجراءات المصرف الداخلية. على أيّ حال جميع حسابات الجاري المدين تمّ إغلاقها في نهاية أيلول لاحقا للقرار رقم ٢٨ الذي فرض معايير صارمة على الجاري المدين.*

٣ -*تمّ حلّها مع المراقب المصرفي الداخلي ونحن الآن ممتثلين للقرار ٢٨.*

٤ -*التقرير رقم ٥ العائد لإعادة تقييم مركز القطع البنيوي، يجب أن يعدل من أجل مطابقته مع إعادة التقييم المستخرج من النظام. تمّ إرسال كتاب إلى المصرف المركزي لكي نوضح سبب الفروقات ولكن لم نستلم منهم أيّ رد حتّى الآن. وقد تلقينا تفسيراً شفهياً منهم خلال اجتماعنا معهم، بأنّ معظم البنوك لديها هذا الفرق، وأنّهم في طور دراسته لجميع البنوك.*

Penalties & Warning

During Q3 2017, BBS was subject to the following:

1- Penalty of SYP 100,000 due to inaccurate calculation of the cash margin amount related to one export undertaking.
2- Three warning letters due to inaccurate data, inadequate IT system and outdated procedures related to export undertaking.

كتب الإنذار والغرامات المالية

خلال الفصل الثالث من عام ٢٠١٧ تلقى المصرف مايلي :

١ - غرامة مالية بقيمة ١٠٠،٠٠٠ ليرة سورية نتيجة عدم دقة حساب مبلغ التأمين المقتطع على احد تعهدات التصدير.
٢ - ثلاث كتب تنبيه نتيجة عدم دقة بعض المعلومات وعدم كفاية النظام التكنولوجي المستخدم في المصرف، وعدم وجود سياسات وإجراءات محدثة لتعهدات التصدير.

Mr. Karam Bechara - DGM

1- *Cash margin calculations were executed at branch level. Once the issue was mentioned in the internal controller report, we have informed all branches to be more careful in their calculations. Moreover, TF unit Syria is verifying the branch computations to avoid similar mistakes. (Issue solved).*

2- *All data sent to CBOS was correct and that was clearly mentioned in the internal controller report. (Issue solved).*
The system was created by TF unit Syria and was transferred to live since 07/12/2016 (attached email sent from BT); the procedure was approved on 28/07/2016 (attached email sent to BBL).

جواب السيّد كرم بشارة - نائب المدير العام

١ - *إنّ إحتساب مبلغ التأمين يتمّ على مستوى الفرع، وعند ذكر تلك الملاحظة في تقرير المراقب المصرفي تمّ إعلام الفروع بضرورة توخّي الحذر في حسبتهم لمبلغ التأمين، وكما أنّ وحدة التمويل التجاري في سورية تقوم بالتحقق من حسبة الفروع لتجنّب الأخطاء المماثلة (تمّ حلّ الملاحظة).*

٢ - *كلّ المعلومات المرسلة إلى المصرف المركزي كانت صحيحة وكان ذلك واضحاً في تقرير المراقب المصرفي الداخلي (تمّ حل الملاحظة). تمّ إنشاء قائمة خاصّة لتعهدات التصدير على النظام المصرفي من قبل وحدة التمويل التجاري منذ ٧-١٢-٢٠١٦ وأصبح جاهزاً للعمل به (مرفق بريد من BT)، إن السياسات والإجراءات تم الموافقة عليها في ٢٨-٧-٢٠١٦ (مرفق بريد مرسل إلى بنك بيبلوس لبنان).*

Afterwards, we were informed by CAD that the data is not suitable for their profile, so upon their request we sent a new CRF to the developing unit in BBL to amend the EU menu. We got the CAD clearance on 12/06/2017 and the accounting unit clearance on 11/10/2017 (both attached). On 16/10/2017 the CRF was transferred to live as per attached email sent from BBL. (Issue solved).

بعد ذلك تم إعلامنا من قبل قسم إدارة التسليف التجاري بأنّ المعلومات غير مناسبة لملفاتهم على نظام غلوبس، ولذلك بناءً على طلبهم تمّ إرسال طلب تعديل إلى قسم التطوير في لبنان ليتمّ تعديل قائمة تعهدات التصدير على النظام المصرفي. تمّ الحصول على موافقة قسم إدارة التسليفات في ١٢-٦-٢٠١٧ وقسم المحاسبة في ١١ - ١٠ - ٢٠١٧ على تطوير النظام. فأصبح النظام جاهزاً للعمل به في ١٦-١٠-٢٠١٧ بحسب بريد إلكتروني مرسل من بنك بيبلوس لبنان (تمّ حلّ الملاحظة).

BRANCH NETWORK

During Q3 2017, we issued the reports related to Swedaa and Hama branches and finalized the audit over Mazzeh branch and Bab Sharki Office. The overall control environment was Acceptable. In addition, we started the audit over Tartous and Homs branches.

The below table shows the audit on the branches with their related rating:

شبكة الفروع

خلال الفصل الثالث من ٢٠١٧ أصدرنا تقارير عن فروع السويداء، حماه، وأنهينا التدقيق على فرع المزة وباب شرقي. كانت البيئة الرقابية مقبولة بالإجمال. بالإضافة إلى ذلك، بدأنا التدقيق على فروع طرطوس وحمص واللاذقيّة.

إنّ الجدول المبيّن أدناه، يُظهر التدقيق على الفروع مع درجة التقييم:

No	Branches	2015	2016	2017
1	Abou Remmaneh	2.54	2.55	**2.96**
2	Mazzeh	2.82	2.41	**3.05**
3	Homs	2.18	2.98	**In Progress**
4	Aleppo	2.98	3.22	**3.14**
5	Lattakia	3.31	3.20	**In Progress**
6	Tartous	3.32	2.96	**In Progress**
7	Abbasiyeen	3.26	3.15	**3.10**
8	Hama	2.46	2.92	**2.61**
9	Hosh Blass	2.68	Closed	**Closed**
10	Sweeda	3.04	3.06	**2.86**
11	Bab Sharki	Closed	Closed	**3.35**

Rating: Poor <1.5 –1.5≤ Below Acceptable<2.5 –2.5≤Acceptable<3.5 – Above Acceptable ≥3.5

OPERATIONS

During Q3, we audited the Compliance & AML processes and the job is in progress.

العمليات

خلال الفصل الثالث من العام ٢٠١٧، تمّ التدقيق على عمليات الإمتثال ومكافحة غسيل الأموال والعمل ما زال مستمرّاً.

INFORMATION TECHNOLOGY

Business Continuity & Disaster Recovery Plans (BCP-DRP)

The T24 Program Change Control (PCC) process was audited during Q3 2017. Several control weaknesses were identified and conventional passwords were noted for some systems' users. Due to the fact that the File Transfer Protocol

نظام المعلومات

خطط إستمرارية العمل وتجنّب الكوارث

تمّ التدقيق على نظام التحكّم في تغييرالبرامج على T24 خلال الفصل الثالث من ٢٠١٧. وتمّت ملاحظة عدّة نقاط ضعف وقد لوحظ بأنّه تمّ وضع كلمات سر تقليدية لبعض مستخدمي النظام. بما أنّ بروتوكول نقل الملفات غير مقيّد بشكل صحيح، فإنّ ذلك قد يؤثّر على بيئة عمل نظام T24 حيث يمكن حذف أو تغيير ملفات بالخطأ أو بشكل مقصود. وبالإضافة إلى ذلك، إنّ برامج

(FTP) access is not properly restricted, T24 environment functionality can be impacted since T24 files and folders can be accidentally or intentionally deleted or altered. In addition, T24 programs or subroutines, which are developed locally, were transferred and compiled in the live environment, by the database administrators, which is not in line with best practice. Thus, we recommend using the new BUILD.CONTROL T24 tool to transfer only the executable programs (subroutines objects) to T24 production instead of transferring the programs source codes as being currently practiced; moreover, an IT Librarian should be assigned for the custody and management of the T24 source codes libraries.

T24 والروابط الفرعيّة، التي يتمّ تطويرها محلياً، تمّ نقلها وتجميعها في البيئة الحيّة (Live environment)، من قبل مسؤولي قاعدة البيانات وذلك لا يتماشى مع أفضل الممارسات. وبالتالي، نوصي باستخدام أداة (BUILD.CONTROL T24) الجديدة لنقل البرامج القابلة للتنفيذ فقط إلى T24، بدلاً من نقل رموز مصدر البرامج (source codes) كما يحصل حالياً. كما أنّه يجب تعيين موظف مستقل (IT Librarian) لإدارة وحفظ رموز البرامج على T24.

BBS Disaster Recovery (DR) room's renovation was accomplished and all needed hardware equipment were ordered by October 2017 and are expected to be delivered in two months. Hence, the installation of all equipment, fixtures and site readiness is expected in Q1 2018, whereby a drill will be conducted consequently. On the other hand, Disaster Recovery (DR) server for BBS Microsoft Exchange system (emails system) is part of the DR project and is expected to be completed upon BBS DR readiness. Currently, BBS Microsoft Exchange system backup is being performed on a daily basis, and can be recovered from the backup tapes, depending on the failure scenarios.

عملية التجديد في غرفة إدارة الكوارث في بنك بيبلوس سورية قد اكتملت .تمّ طلب كافة المعدات والأجهزة الخاصّة في تشرين الأوّل ٢٠١٧ والمتوقّع الحصول عليها في غضون شهرين. لهذا السبب إنّ التركيبات والتمديدات لكافة المعدّات من المتوقع لها أن تكتمل بالفصل الأوّل من عام ٢٠١٨ وبناءً عليه سوف يتمّ اختبارها في صيغتها النهائية. من ناحية أخرى، فإنّ المخدّم الخاص بخطّة إدارة الكوارث في بنك بيبلوس سورية (فيما يتعلّق بنظام رسائل البريد الالكتروني) هو جزء من مشروع إدارة الكوارث ومن المتوقع أن يكتمل عند جهوزية هذه الخطّة. حالياً يتمّ التخزين الاحتياطي لنظام (Microsoft Exchange) بشكل يومي، ويمكن أن تتمّ استعادته من شرائط التخزين الإحتياطي، تبعاً لسيناريو فقدانها.

On the other hand, the Debit Cards Management System (DCMS) used in BBS lacks several controls. Some active cards were identified having wrong format mobile phone numbers. Moreover, the actions and tables to be audited over the database level were neither identified nor set for auditing.

من جهّة أخرى، فإنّ نظام إدارة البطاقات المصرفية (Debit Cards Management System) المستخدم في بنك بيبلوس سورية يفتقد إلى عدّة إجراءات رقابية. تمّ تحديد عدد من البطاقات الناشطة والتي تمّ تسجيل أرقام الهاتف المحمول المرتبط بها بشكل خاطئ. كما أنّه لم يتمّ تعيين وتحديد الإجراءات والجداول على مستوى قاعدة البيانات والتي سوف تخضع للتدقيق.

Mr. Karam Bechara - DGM
Information Technology
Business Continuity & Disaster Recovery Plans (BCP-DRP)

After discussing this issue with Mr. Machhour over the phone, this is a BT audit issue that they are working on. This issue will be partially resolved in 2017 and fully resolved in 2018.

This will be solved when the DRC becomes operational (est. Jan. 2018).

GSM SMS issue: 3 CRFs has been prepared to fix the problem on CAMS level as per attached. Noting that BT helpdesk has been informed on July 2017 as per attached emails to solve the problem.
Database issue: this point is not related to cards operations unit Syria, it should be sent to Projects & System Development unit-BBL.

جواب السيّد كرم بشارة - نائب المدير العام
تكنولوجيا المعلومات
خطط استمرارية العمل وتجنب الكوارث

بعد مناقشة الملاحظة مع السيد مشهور سالم عبر الهاتف. فإنّ هذه الملاحظة هي عائدة لقسم تكنولوجيا المعلومات وسوف يقومون بحلّها. سوف يتمّ حلّ الملاحظة في ٢٠١٧ بشكل جزئي وسيتمّ حلّها بالكامل في ٢٠١٨.

سيتمّ حلّها عندما يتمّ تشغيل غرفة إدارة الكوارث (في كانون الثاني ٢٠١٨).

بالنسبة لملاحظة الموبايل والرسائل: تمّ تحضير طلب تعديل لحل النقطة على مستوى برنامج (CAMS) كما هو مرفق. والجدير بالذكر أنّ قسم تكنولوجيا المعلومات في لبنان قد علم بالملاحظة في شهر تمّوز ٢٠١٧ لكي يتمّ حلها.

ملاحظة قاعدة البيانات: هذه النقطة لا تخص وحدة إدارة البطاقات في سورية. يجب إرسالها إلى وحدة تطوير الأنظمة في بنك بيبلوس لبنان.

COMMERCIAL PORTFOLIO

During the period May 31, 2017 until September 30, 2017, commercial classified direct O/S increased by SYP 158M, from SYP 19,085M to SYP 19,243M, and from 61% to 63% of the total commercial portfolio direct O/S, divided between Non-Performing (50%) and Watch List loans (13%). Although a good remedial management was noted for SYP 1,987M; yet it was offset by the classification to "Watch List" of four accounts with total O/S of SYP 1,424M in addition to interests posted on existing classified accounts.

المحفظة التجارية

خلال الفترة الممتدّة من ٣١ أيّار و لغاية ٣٠ أيلول من العام ٢٠١٧ زادت الديون التجارية المباشرة المصنّفة من بقيمة ١٥٨ مليون من ١٩،٠٨٥ مليون الى ١٩،٢٤٣مليون ليرة سورية ومن ٦١% إلى ٦٣% من إجمالي مجموع المحفظة التجارية للديون المباشرة، وهي موزّعة بين ديون متعثّرة بنسبة ٥٠%، وقروض تتطلب إهتماماً خاصّاً بنسبة ١٣%. على رغم تحصيل جيّد ١،٩٨٧ مليون ليرة سوريّة، فلقد استهلك بتصنيف أربع حسابات قروض تتطلّب إهتماماً خاصّاً بمجموع ١،٤٢٤ مليون ليرة سوريّة بالإضافة إلى فوائد مستحقة خلال هذه الفترة على قروض مصنّفة.

Mr. Karam Bechara - DGM
Commercial Portfolio

BBS will continue with its remedial management in order to increase the collected debt mainly the Non-Performing debts. BBS will do all efforts to expand the commercial portfolio in light to the available liquidity in order to enhance the profitability of the bank.

جواب السيّد كرم بشارة - نائب المدير العام
المحفظة التجارية

سيستمر بنك بيبلوس سورية بالإدارة الجيدة للتحصيل من أجل زيادة تحصيل الديون وخاصّة الديون الغير منتجة. وسيبذل القسم التجاري جهده للتوسّع بمحفظة التسليف التجاري على ضوء السيولة المتاحة من أجل تعزيز ربحية البنك.

APPENDICES

الملحقات

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ملحق ١ - المخالفات العالقة

Appendix II - Index of Cleared / Downgraded Issues

ملحق ٢ - المخالفات التي تمّ حلّها / خفّضت مخاطرها

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ملحق ٣ - المخالفات العالقة في الفروع

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Appendix V - Index of Cleared CBoS Issues

ملحق ٥ - المخالفات الصادرة عن المصرف المركزي السوري التي تمّ حلّها

APPENDIX I - INDEX OF OUTSTANDING ISSUES

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at September 30, 2017	Reply as at September 30, 2017	Issue Category
1	BBS	OA	12-24	H		***Reporting System (126-BBS-OA-015-15):*** CBoS reports are manually prepared using data gathered from different sources (T24, Access, Excel etc.), which might lead to errors and penalties. Accounting should coordinate with BT in order to automate the generation of reports and limit the manual interventions. ***Audit Comments***: Issue will be reassessed next quarter since the required control measures are not yet implemented (protected Shared Folder, Excel files generated from Access are not protected, etc.)**.**	***Georges Sfeir (General Manager):*** 80% of reports are generated from access database after 3 accountants attended an advance course on Access. Furthermore, 2 reports were requested from BBL which will facilitate the 2 main reports requiring a lot of time (Legal Lending Limits and Classification). They are under testing now. In addition, we are checking for a local provider of reporting software or Business Intelligence. We suggest to decrease this issue to Low.	System Implementation
2	BBS	OA	6-12	H		***System (185-BBS-OA-020-15):*** Trilog & Inventory systems lack segregation of duties, dual control and audit trail. In addition, statistical reports (newly purchased items, moved items, etc.) cannot be automatically extracted and necessitate manual intervention. We recommend Finance & Administration to coordinate with BT in order to address the above mentioned irregularities.	***Georges Sfeir (General Manager):*** It should be noted that we are comparing Trilog data with the Inventory system and with Globus on a monthly basis. So there is no risk involved in manipulating the data available on the system. Furthermore, when doing the inventory count, the data are matched with the inventory system. Please	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at September 30, 2017	Reply as at September 30, 2017	Issue Category
						Audit Comments: Issue cannot be closed in this quarter for the following reasons :1- Till day no full physical inventory count is conducted by the administration 2- Mr. Georges Bittar has to ensure that Ammar Bagdad has change his password and Bassel Alkhen has no access anymore to the inventory system. Issue will be checked at the end of year	remove this issue.	
3	BBS	ITA	>24	M		***Conventional user name & password is being used by all users to login to BBS (170-BBS-IT-022-14):*** Since creation of Globus/T24 BBS environment, one shared UNIX account is being used by all BBS users, before they type their T24 user name and password. Consequently, with the use of this UNIX shared credentials, password aging policy was not imposed at Unix level. Moreover, access using the file transfer protocol (FTP) is not properly restricted. We recommend either creating one UNIX account for each user or find a turnaround solution (such as ex: bypassing the UNIX login) that should be tested and implemented. A delivery date for the selected solution is requested. Accordingly, the shared	***Raffoul Raffoul (AGM- Head of Group Organization Dvpt, Info Systems & Operational Support):*** ***Jean-Michel Kaoukabani (Head of Information Security):*** This long lasting issue would be solved once we upgrade to the newer web enabled version. Creating for each user two profiles (UNIX and Globus) will be cumbersome for end users who will need to memorize two passwords in order to access one application. It will also increase the load on IS and BT (password reset, user reconciliation, etc...) on the different environments (Live, Backup and Disaster).We have	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at September 30, 2017	Reply as at September 30, 2017	Issue Category
						user password should be changed and the FTP should be properly restricted to authorized users.	submitted a case to BT in order to make the desktop client bypass UNIX authentication through the use of hidden credentials. BT will test the solution provided by Temenos (ref: Mr. Machhour Salem).Machhour Salem (Acting Head of Infrastructure & Systems): We are assessing the feasibility of the solution provided by Temenos. We should have a response by Q4 2017.	
4	BBS	ITA	>24	M	12/31/2017	***Exchange disaster recovery server is not in place (086-BBS-IT-008-15):*** We noted that a DR server for BBS exchange server is not in place; although it is designated as a critical system, according to systems classification. Consequently, DR procedure is not in place and drills were not performed. We recommend BT to set a clear action plan regarding the DR coverage for BBS Exchange Server in order to diminish the related risks. Therefore, formal DR procedure should be prepared and drills should be performed and documented accordingly.	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** We will start Syria DR Setup once BBS Tartous DRC is ready expected in Q4 2017.	Regular

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5	BBS	ITA	>24	M	12/31/2017	***Weaknesses in the critical services' classification, assessment, and contingency (069-BBS-IT-010-13):*** We noticed that the current information systems' services in BBS are classified in terms of criticality; however, the related contingency plans, except for T24 & Swift, are not yet in place. We recommend the Head of the BCP Unit with the support of BT, and BBS management to ensure that all critical services have the appropriate contingency plans, in addition to study the possibility of installing a backup server for each of the above presented systems, in order to avoid the loss of data and avoid any unexpected interruptions in the bank's operations. It is worth mentioning that these systems are already classified as critical systems by BT and ISD.	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** ***Seif Altabbakh (Deputy Head of IT Support Unit):*** Issue Pending with BT. Machhour Salem (Acting Head of Infrastructure & Systems): Open2, Siebel, T24 and Swift have already DR plans. We will start working on DR Plans for SigCap, Retail, Exchange and other critical applications by Q1 2018, after the DR site in Tartous is ready. ***Jean-Michel Kaoukabani (Head of Information Security):*** The issue should be followed directly with BT DR unit.	Regular
6	BBS	ITA	>24	M	12/31/2017	***T24 live and backup servers are located in the same room (069-BBS-IT-010-13):*** It was brought to our attention, during our fieldwork, that the T24 live and backup servers are located in the same room. We recommend the Business Continuity Unit, BT, and BBS	***Georges Sfeir (General Manager):*** ***Seif Altabbakh (Deputy Head of IT Support Unit):*** Issue will be resolved upon the completion of the Tartous DRC. ***Machhour Salem (Acting Head of Infrastructure & Systems):***	Regular

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						to study the possibility of installing the backup server in a room other than the one containing the live server, in order to avoid the loss of data, and avoid any unexpected interruptions in the bank's operations.	Systems equipment's were ordered. Telecom equipment will follow. Installation is still expected in Q4 2017.	
7	BBS	ITA	>24	M		***Missing audit trail at the database level in the Web Retail Information System (104-ITA-08-08):*** Users' privileges are not logged or monitored at the database level. Audit trail at the database level should be implemented, to ensure that major tasks are logged and could be trailed. We recommend selecting of specific events and objects to be audited in order to avoid generating huge amounts of log entries that consume valuable server resources to be regularly reviewed by concerned parties. ***Audit Comments***: Enabling the audit trail on the DB level should be assessed with Owner and ISD. otherwise, we should upgrade SQL server from 2000 to a newest version supported by Microsoft, in order to dismiss the related audit trail weaknesses on the actual version.	***Georges Sfeir (General Manager):*** ***Seif Altabbakh (Deputy Head of IT Support Unit):*** Issue pending with BT. Machhour Salem (Acting Head of Infrastructure & Systems): - Auditing on Successful/Failed Logins is already enabled.- For the DB Auditing, this SQL Server is version 2000 therefore the only auditing option available is C2 which is heavy on performance and could affect the application availability so not recommended at all. But, in case confirmed to be required, then could be enabled easily	System Enhancement

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8	BBS	OA	>24	M		***BBS Archives (030-MEM-BBS-OA-002-14):*** Discrepancies were noted regarding physical & environmental security controls over BBS archives as follows: Hosh Blass: the access to archives became very difficult and not secured. DVRs recordings are not accessible, due to electricity failures and absence of internet connection. Abou Remmaneh (Basement): No cameras inside the archive room. Abou Remmaneh (Mezzanine): The mezzanine lacks the physical and environmental security controls (no fire proof cabinets or partitions, no fire alarms or extinguishers, absence of waterdetector, no cameras). No access cards are available for Abou Remmaneh and Hosh Blass archives' areas. No centralized database and documented procedure. An electronic archiving solution along with a clear process should be implemented. ***Audit Comments***: Issue is downgraded to M since we visited, on 4/10/2017, BBS main archives and noted the following: Hosh Blass basement (main BBS archive): The documents are organized and the	***Georges Sfeir (General Manager):*** The main archive in the headoffice is now well organized. Still pending some documents in the archive of hos blass related to Homs branch that are in a plastic bag since they were transported from the damaged branch. The fire extinguishers were on the day the auditor was in hosh blass. As of the alarm, detector and DVR, they are not working since there is no lease line in the area. However, we are working with a supplier who promised to get us a leased line soon. Noting that after we started the E-Archiving, 65% of the documents are now scanned and available as soft copies. It should be noted that we are looking for a new location to be used as an archive since hosh blass is almost full. We suggest to decrease this issue to Low.	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at September 30, 2017	Reply as at September 30, 2017	Issue Category
						automatic fire extinguishers were found. however, neither alarm detectors nor DVR were functioning at Hosh Blass premise. Abou Remmaneh mezzanine was not set up properly as a bank archive, used as a sanitary and old disposable items warehouse and a CAD archiveAbou Remmaneh basement was organized		
9	BBS	OA	>24	M		***System functionality (BBS Loan Recovery - 2013):*** LRU application (Excel sheets) used for following up with clients is basic and may lead to data alteration. It is updated with data from branches; thus, in case the branch omits or doesn't send the information on time, the new defaulting loans will not be included. In addition, there were no automated monitoring reports for closed, rescheduled or written-off loans and inputted data were not reviewed by an independent party. A dedicated application and automated reports should be implemented in order to enhance controls. ***Audit Comments***: Issue will remain M since no dedicated system to manage the LRU activities.	***Georges Sfeir (General Manager):*** Excel sheets reports are used since 2008 without facing any problems. Besides, we are checking with other companies in Syria and Lebanon in order to implement a new system (please check the attached emails). We suggest to decrease this issue to Low.	System Implementation

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at September 30, 2017	Reply as at September 30, 2017	Issue Category
10	BBS	OA	>24	M		***Communication with Legal Unit (BBS Loan Recovery - 2013):*** No standardized criteria used to transfer a defaulting client's file from LRU to Legal Unit. An amount of SYP 3.9 millions related to 6 cars sold in auctions during 2011 and 2012 was not collected. Also, Legal did not keep defaulting clients' files including the original bills in a fireproof cabinet. We recommend formalizing the interaction between LRU & Legal Unit through a validated procedure. Moreover, Legal should follow up on collecting the amount from cars' sales. ***Audit Comments:*** Point 1. Is still outstanding, 2-The administration unit provide the legal with 2 fireproof cabinet. However we will wait unit the bank collect the due amount of the six sold cars.	***Georges Sfeir (General Manager):*** As agreed with the GM, we are sending the files to Legal Unit on a case by case (please check the attached email).Concerning the 6 cars sold in auctions during 2011/2012 and not collected, you will find attached as well Legal Unit's reply.in the process of collecting the due amount expect to collected two amount before the year end (Jamil Najar & Salem Amin) as for both Feras Halak & Abdula Hindawi letter between Damascus and Aleppo court is taking place and Dayoub Dayoub is an exceptional case Order sent to the administration unit (please check the attached email).We suggest to decrease this issue to Low.	Regular
11	BBS	OA	>24	M		***User Access (BBS Loan Recovery - 2013):*** The limit set for the head of LRU to authorize overdrawing a client's account was not approved by BBS management committee. ***Audit Comments***: the CRF was send to the concerned parties (PMO), we will	***Georges Sfeir (General Manager):*** CRF sent to BT Lebanon. Expected to be solved in Dec 17/Jan 18.We suggest to decrease this issue to Low.	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at September 30, 2017	Reply as at September 30, 2017	Issue Category
						reassess the issue next quarter.		
12	BBS	OA	>24	M		***AML Solution (043-BBS-OA-005-11):*** The AML solution software is not yet in place in order to:- Identify signs of money laundering.- Track unusual transactions and activities.- Prepare regulatory reports.- Reduce manual controls.- Generate automated reports including aggregate reports by group of clients to assist the Compliance function in identifying suspicious transactions.- Classify customers and transactions according to a risk-based approach, etc… ***Audit Comments***: Issue will be reassessed after finishing the compliance and AML job	***Georges Sfeir (General Manager):*** We are working on SIRON (AML solution + RBA), and we are waiting BBL to answer some questions enabling us to continue working on it. Issue pending at BBL. We suggest to decrease the issue to Low.	System Implementation
13	BBS	OA	>24	M		***Monitoring Reports (043-BBS-OA-005-11):*** 2. All delivered monitoring reports are modified after being extracted from the web reporting to include the source of funds for some old clients and replace some unreadable data and thus subject to accidental modification leading to inaccurate review.3. The report generated by the Compliance function in order to detect whether a given customer conducted cash deposits exceeding	***Georges Sfeir (General Manager):*** 2-Reports already extracted automatically by the system. However, we only delete some columns not needed. We suggest to remove this issue.3-We sent 2 CRFs related to cash deposits and cash withdrawals to create 2 WEB reports same as BBL to provide us the customers who conducted cash deposits or cash withdrawals exceeding 3M	

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at September 30, 2017	Reply as at September 30, 2017	Issue Category
						SYP 500,000 is incomplete and inaccurate, as it does not sum up the total cash transactions per CIF.4. The review of the report related to ATM cash withdrawals greater than USD 2,000 or equivalent "AML Monitoring Report" is not documented.5. The CUT report is not generated by the Compliance function if suspicious accounts were not subject to movement. ***Audit Comments***: Issue will be reassessed after finishing the compliance and AML job	SYP per day as per D Nr. 15 LOGS Nr. (C29423)+(C29424) . Issue is pending with BT Lebanon.4- Report is currently checked based on number of ATM withdrawals /transactions per day. Issue already discussed with Audit Dept. we suggest to remove this issue. 5- CUT report shows every movements on the accounts flagged by us. Therefore, if there is no movement on the accounts, the report will not be printed out. We suggest to remove this issue.	
14	BBS	OA	>24	M		***Syrian Watchlist Names (043-BBS-OA-005-11):*** There is no review to ensure that names reported by CMLC were introduced in Fircosoft on timely basis. By reconciling the updated register of the Syrian Watchlist with Fircosoft extraction, we noticed a difference between the number of clients recorded in the register and Fircosoft. In addition, in 2 out of 5 cases, there was a delay in input of names on Fircosoft. Also, names reported by CMLC were not promptly communicated to CID.	***Georges Sfeir (General Manager):*** Compliance BBL provide BT with an updated list on weekly basis and when necessary and urgent, Issue already discussed with Audit Dept.Starting today we will provide BBL with the watch list once we amend it and ask them to update Fircosoft accordingly . We suggest to remove this issue. -Starting March 2017 we are providing the CID with an updated watchList every two weeks. We	

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at September 30, 2017	Reply as at September 30, 2017	Issue Category
						Audit Comments: Issue will be reassessed after finishing the compliance and AML job	suggest to remove this issue.- We started to review the names on Fircosoft. Issue solved.	
15	BBS	OA	>24	M		***Insufficient recording duration of the DVRs (085-MEM-BBS-06-09) & Surveillance Camera Coverage at the Branches (112-MEM-BBS-10-09) (085-MEM-BBS-06-09):*** The duration of the DVR recording was insufficient and varied from one location to another. Moreover the The surveillance cameras installed at the branches were either not properly functioning, not well focused and/or not covering all the important locations of the branches. In addition, the quality of the pictures is low and does not show the needed details. ***Audit Comments***: Issue is downgraded to M since the management accepted the risk. We checked the DVRs on 2-10-2017 and noted that the DVRs of Aleppo branch are not recording during the weekends and after working hours, In addition the DVRS of Abbassein Archive and Sheraton Sednaya Hotel ATM are not recording. Furthermore the DVRs of Hosh Blass branch, the archives are not recording at all.	***Georges Sfeir (General Manager):*** Regarding Hosh Blass, there is no connection (leased line) in the area. Regarding Aleppo, there is no electricity in the region and we cannot keep the generator running for the whole day and weekends so we are running it only during working hours. Noting that the management is aware of the above and accept the risk in the current situation. Noting that we are working to get leased line in Hosh Blass in order to have back 24 hours power. All other issues are solved since they are unexpected ones due to the old age of the DVRs. We suggest to decrease this issue to Medium.	

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at September 30, 2017	Reply as at September 30, 2017	Issue Category
16	BBS	CRA	6-12	M		***Delays in the CA Renewals (BBS - 2016):*** Out of the 15 tested files, 5 files were expired and not yet renewed, noting that some of these files were previously subject to technical renewals. In addition, 8 files were renewed with an average delay of 10 months, and 2 other files (previously NPL) were renewed with a delay exceeding 3 years.	***Georges Sfeir (General Manager):*** We recommend to consider it as low risk instead of Medium. All mentioned files excluding Ghassan Succar have been renewed "rectified" noting the following: The delay in file renewal is mainly due to the following reasons: •The difficulties at obtaining the required renewal documents where some of the clients are relocated outside the country which makes it more difficult to communicate with them and acquire the needed documents/ information to renew the file. •The high turnover of commercial staff where the new team doesn't have the necessary experience to handle as flexible as possible the renewal of files.• The overload of requested reports from the central bank of Syria along with the increasing complication on the operational level which takes a major time from the team.• The issuance of new	Ongoing

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at September 30, 2017	Reply as at September 30, 2017	Issue Category
							regulation which put more strict conditions and request more effort and time from the clients to abide such as decree no 28 dated May 2017 and decree no 52 dated September 2017.• Regarding the legal clients/ files classified /6/; most of those clients are out of business so they don't have operation to report and there is no direct contact with some of them thus no renewal documents are available; in case we reached later on a rescheduling agreement to exit gradually from them, related office memo is prepared along with the available information and sent for CCC approval such the existing case in Sharikat Ajnihat AlSham Lil Tayaran and Sharikat Hijja wa Bitar.• Regardgin Ghassan Succar file, we are in exit relationship and a three pages CA with an office memo will be submitted before end of November. Nevertheless it is worth mentioning that although some files were renewed with	

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							delay, however the RM and the Head of the Commercial Unit is closely monitoring those accounts and in case of any suspicious matters the issue is directly raised to the upper management level.	
17	BBS	ITA	6-12	M		***Audit trail Over the Database Level is not in Place (120-BBS-IT-016-16):*** During our fieldwork, we noticed that the audit trail is not enabled to log activities and data manipulation (select, delete, insert, update, etc) performed by database administrators at the Open2 oracle database level. Consequently, activities can't be easily identified. We recommend BT in coordination with ISD to specify the database events that are considered critical. Consequently, the audit trail should be enabled on selective critical events to log activities performed at the DB level. ***Audit Comments***: The Default Audit trail was enabled on Oracle 10g, however, no logs were being retrieved since actions and tables to be audited were not set.	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** We started the exercise to specify which tables are to be audited. In Q4 2017, We will be start the auditing process progressively in order to monitor the impact on performance.	System Enhancement
18	BBS	ITA	6-12	M		***Debit Card Yearly Maintenance***	***Georges Sfeir (General***	System

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						Charges Collection (120-BBS-IT-016-16): The Debit Card yearly maintenance charges (900 SY) are being manually collected by debiting customers' accounts and crediting the PL 52022 (COM ON MAESTRO CARDS). We also noted that some active cards maintenance fees were not shown as collected for 2016 from their related accounts. As per BBS this is due to the fact that some cards' fees are being debited from the customers' related companies' accounts, and others are exempted from cards fees payment. It is worth noting that customers' exception list is currently not in place. We recommend BBS to prepare an exhaustive list containing all debit cards charges exceptions. In addition, we recommend BBS to request from BT to study the possibility of automating the process of collecting the debit card yearly charges, as mentioned in the DEBIT CARD BBS procedure. ***Audit Comments***: After following up with BT, the change C24975 is under development. In addition the exhaustive list containing all debit	***Manager):*** 1-BT Help desk have been re-contacted and promise us to solve it starting September, noting that the related CRF C24975 is logged from 2015. Concerning your audit result for non- charged cards was a very low percentage less than 0.01%, therefore, we suggest to decrease the issue to low.2-Exhaustive list solved.	Implementation

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						cards charges exceptions still not detailed should include all exceptions with related; full name, account number and company.		
19	BBS	OA	6-12	M		***Fixed Assets and Procurement through Bids (185-BBS-OA-020-15):*** The bidding process was not respected, as 48% (13 out of 27) of the tested fixed assets purchases were not supported by 3 different offers from different suppliers, and bids were not being opened and signed by the purchasing committee. In addition two invoices related to ATM services fees although budgeted but greater than USD 10,000 were missing the acknowledgement of BBS Management Committee members. ***Audit Comments***: Despite management reply regarding the existence of few suppliers in the Syrian market for some products, we recommend the Finance and Administration to ensure that the bidding principles are respected and in case of absence of sufficient suppliers an official memorandum should be prepared explaining the case and approved by purchasing	***Georges Sfeir (General Manager):*** We will take into consideration that high value purchases (above $10,000) will be communicated to the Management Committee (even though are budgeted and paid by BBL). Also regarding 3 offers, it should be noted that in most cases mentioned, these are regular suppliers we deal with and they haven't changed their prices since long time so no need as per procedure to get 3 offers. however, it will be taken into consideration that if not possible to have 3 offers, for new purchased assets or for purchases where the suppliers changed their prices, it will be mentioned and approved by the purchasing Committee (for high value purchases above $10,000).	Control

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						committee members. Also, Finance and Administration should make sure that all expenditures and purchases are approved, signed or acknowledged by the concerned responsible parties.ATM switch service fees above USD 10,000 if budgeted should be at least communicated and acknowledged by Management Committee.		
20	BBS	CRA	>24	L		***Excess (187-CR-BBS-15-10):*** The issue is still outstanding for the authorization of unlimited excess overrides in the system. ***Audit Comments:*** We are talking about the authorization of excess on the system. BBS can approve unlimited excesses in the system. This practice should be ratified by BBL.	***Georges Sfeir (General Manager):*** Since there is no credit risk department in BBS, the general manager will authorize all the excesses over the limits. Please clear this issue. A complete set of authority table is included in the new CPPM under circulation.	Procedure
21	BBS	CRA	>24	L		***Approval Authorities granted to MM files (010-CR-BBS-03-11):*** The approval authorities granted to BBS Credit Committee to approve MM files up to USD 750K in Indirect and USD 500K in Direct within specific criteria were not added to the CPPM in BBS.MM approval authorities should be added in the CPPM. ***Audit Comments***: Issue will be	***Georges Sfeir (General Manager):*** Since there is no credit risk department in BBS, the general manager will authorize all the excesses over the limits. Please clear this issue. A complete set of authority table is included in the new CPPM under circulation.	Procedure

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						maintained until the updated CPPM is released.		
22	BBS	ITA	>24	L		***Weaknesses in the BCP Strohl application's maintenance and support (069-BBS-IT-010-13):*** We noticed that the currently used BCP application "Strohl" is not covered with a support and maintenance agreement; i.e. there is no assurance of the proper and continuous functioning of the primary BCP application. We recommend the Head of the BCP Unit to reactivate the maintenance agreement on the Strohl application, and study the possibility to upgrade the application to its latest version.	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** The need is not justified for the time being. Included in the action Plan for year 2017.	System Implementation
23	BBS	ITA	>24	L		***SQL administrator profile and audit trail for the DataBase and Bills Domiciliation Application (181-IT-BBS-14-10):*** 1-Head of Data Integration Development Section on the bills domiciliation application SQL database server is using a conventional username and its password is known by him.2-Moreover, the audit trail over the database is not enabled.3-Last modification and authorization are	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** Bills Domiciliation is split on 2 apps thus 2 SQL Servers BLSQL2 and BLETLSQL. These SQL servers are old versions and the only auditing existing there is C2 which is heavy on performance and could affect the application availability so not recommended at all. But, in case confirmed to	Regular

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						only being logged on the Bills Domiciliation Application. We recommend:1-Studying the possibility of creating separate login name for the Head of Data Integration Development Section user on the bills domiciliation application SQL database server. Consequently "sa" password should be only maintained by DBA and kept in a sealed envelop.2-Enabling the audit trail over the SQL database in order to log all activities performed on the SQL database level.3-Studying the possibility of enhancing the available application audit trail in order to log and maintain all activities performed by users and not only maintaining the last changes. ***Audit Comments***: Audit trail enabling to be assessed with Owner and ISD.	be required, then could be enabled easily.	
24	BBS	ITA	>24	L		***Formal Business Continuity Plan is not in place for the web retail information system (104-ITA-08-08):*** A business continuity plan for the web retail information system has not been elaborated to cover Syria branches and Head Office operations in the event of any disruptions occurring on the retail service.	***Georges Sfeir (General Manager):*** Retail application is not covered in DR at this stage, it will be once the new disaster recovery site in Tartous branch is ready and operational. A formal disaster recovery plan will be made for Retail application once	Regular

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							it is configured in this DR site.	
25	BBS	ITA	>24	L		***Technical documentation for the Web Retail Information System is not yet delivered by the provider (104-ITA-08-08):*** Technical information about the system, application information, database architecture, etc… to keep the concerned parties aware of the progress and the detailed work performed by the provider. A delivery date is required.	***Georges Sfeir (General Manager):*** The technical documentation for Retail BBS will be ready before the end of 2017.	Regular
26	BBS	ITA	>24	L		***Salaries process requires manual intervention (051-ITA-04-09):*** The end of month (EOM) salaries process requires HR to prepare the salaries file and send it by email to BT Beirut to be generated on Globus. Therefore, we recommend HR to coordinate with BT in order to allow salaries file to be transferred by HR to Globus and updated by BT using a Straight Trough Processing solution. ***Audit Comments***: To be assessed with BBL BT.	***Georges Sfeir (General Manager):*** Salaries are now generated by system as a TXT file consisting of numbers and figures that couldn't be read by someone who is not familiar with the process in addition to the inability of the external system provider to make the file transferred to Globus directly i.e. automatically into Globus. Issue solved.	System Enhancement
27	BBS	ITA	>24	L		***Formal recovery procedure for AutoID system is not in place (051-ITA-04-09):*** The system recovery procedure for the AutoID system is not in place. We	***Georges Sfeir (General Manager):*** Since the software provider did not provide us with the software, we (IT Syria) took an	Procedure

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at September 30, 2017	Reply as at September 30, 2017	Issue Category
						recommend putting in place a formal contingency plan to the current HR system database and application in order to ensure the continuity of business in case of disruption. Consequently procedure should be tested. ***Audit Comments***: Recovery procedure should be successfully tested to consider that issue is cleared.	image of the server (system snapshot) that we can use to restore the server should anything happen. That image is taken once a year. That said, we take a daily backup of the AUTOID database. Along with the server image, the database can be used to restore the AUTOID server (current date -1).	
28	BBS	ITA	>24	L		***Missing & improper account categories for charge and credit cards (059-ITA-07-09):*** As per the procedure, customer applying for a charge and/or credit card in BBS should have accounts of special categories. A set of exceptions were encountered in this regard such as: a) MasterCard credit accounts opened under categories such as personal loan, current accounts/overdraft-advances, transferable funds/current accounts and salary domiciliation. b) Billing accounts having categories such as cash margin and easy account. c) Active (charge and/or credit) cards with missing, closed, wrong and/or incomplete accounts. We recommend accounts assigned to credit and	***Georges Sfeir (General Manager):*** Solved as per your test dated 30 June 2015. No need to create a special T24 version for this purpose due to the low Credit cards volume (granted just for BBS Staff).	System Enhancement

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at September 30, 2017	Reply as at September 30, 2017	Issue Category
						charge cards be revised and a report is to be requested and used on a periodic basis to monitor abnormal and improper accounts assigned to credit and charge cards. ***Audit Comments***: On 30 Jun 2015 we conducted a test at the branch level and noted that the employee manually add the account category however the account nature pop up next to it. in addition we checked the 33 credit cards billing and opened master card account since we do not have any more charge card to note that the master card account is opened under category 1132 and the billing account is current or easy account. We recommend to send a CRF in order to create special menu to open master card sub account same as current account. ***Audit Comments:*** Sine credit and charge card are not granted. We recommend restricting opening of credit card accounts in the current T24 versions.		
29	BBS	ITA	>24	L		***No proper credit and charge cards management system (059-ITA-07-09):*** Part of the charge/credit cards	***Georges Sfeir (General Manager):*** Solved using web GUI application.	System Implementation

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at September 30, 2017	Reply as at September 30, 2017	Issue Category
						process is manual which might be subject to human error. Thus, a delivery date for acquiring a Card Management System to manage credit and charge cards is to be specified. ***Audit Comments***: The issue is not yet solved, but using web GUI application reduce the risk and manual process. Therefore the issue will be downgraded.		
30	BBS	ITA	>24	L		***CID application was not in place (044-IT-BBS-04-10):*** We noted that the Credit Information Department (CID) was using different data sources to search on customer information. The search was being manually performed and with no support system. It is worth mentioning that a new CID application is being developed for BBL and it can be used, once finalized, in BBS after assessing the interfaces. A CID application is recommended to be deployed in BBS in order for customer information to be centralized in one application/database. This application should have an efficient and effective search engine. Therefore, we recommend CID department to follow	***Georges Sfeir (General Manager):*** Log Nr. SD000590359 was sent to BT Lebanon on 26/11/2014 and still pending till date.	System Implementation

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						up with BBL on the CID application delivery date. ***Audit Comments***: Since request for change was requested and sent to BT Lebanon, the issue will be downgraded.		
31	BBS	OA	>24	L		***Duties and Reporting Line (BBS Regulatory Compliance):*** The RCO functional reporting to the Head of Legal was not in compliance with the decree 489; since the RCO was performing some legal tasks which might impair her independency. Moreover, the RCO tasks were not governed by any procedure (expected 2nd half of 2015) and the related JD was not revised to reflect the actual duties and responsibilities. RCO duties and reporting line along with the related JD should be revised. ***Audit Comments*** : Issue is partially rectified since the bank hired a new Regulatory Compliance officer (RCO) reporting to the head of compliance unit and the procedure is validated by the internal audit and sent to concerned party ,however the related JD was not revised to reflect the actual duties and responsibilities	***Georges Sfeir (General Manager):*** ***Ajia Shaheen (Head of Compliance Unit):*** JD completed at BBS level and still pending at HR Lebanon. HR Syria will follow up with them accordingly. *Sherehan Saloum (Head of section recruitment & training & personnel):* Kindly be advised that the JD is pending with BBL Mr. Hachem.	Ongoing
32	BBS	OA	>24	L		***Communication of New Laws and***	***Georges Sfeir (General***	Ongoing

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						Regulations (BBS Regulatory Compliance): The Regulatory Compliance Officer (RCO) was not challenging the Bank's compliance with the regulations in force. In addition, there was no proper register of laws and regulations covering the Bank's activity (rectified for laws issued in 2014). Moreover, we noted delay in communicating CBoS decrees to concerned parties as such, 10 decrees were communicated to related departments with an average delay of 74 days. We recommend the RCO to ensure compliance with regulations through testing, completeness of laws' register and dissemination without any delay, of laws and regulations. ***Audit Comments***: Issue is downgraded to M because the Regulatory Communications Tracking System was installed during this quarter and a training for the new CRO was done. The implementation is in progress by the new CRO in coordination with Group AML & Legal Compliance Department Consequently, we shall re-eavaluate the situation in the next quarter.	***Manager):*** Solved the RCO is challenging the bank's compliance with regulations case by case. We suggest to remove this issue.	

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						Audit Comments: issue it still Outstanding The Regulatory Compliance Officer (RCO) is still not challenging the Bank's compliance with the regulations as no flash mission is being conducted to ensure the proper implementation of new and old regulation		
33	BBS	OA	>24	L		***Regulatory Reports Follow-up (BBS Regulatory Compliance):*** The RCO was not properly following-up on the issuance of regulatory reports; among 286 tested reports prepared by different departments, we noted that the RCO did not ensure that 213 reports were timely submitted. Moreover, the regulatory reports' register used by the RCO was incomplete (22 reports were missing; the periodicity of one report was misstated, etc…). ***Audit Comments***: Issue is downgraded to L, since the RCO started manually the follow up over the regulatory reports.	***Georges Sfeir (General Manager):*** Since February 2017 the RCO started manually following up over the regulatory reports by sending on a monthly basis e-mails to the concerned units to have their confirmations regarding sending the reports without any delay. We suggest to remove this issue.	Ongoing
34	BBS	OA	>24	L		***Rescheduled loans (BBS Loan Recovery - 2013):*** Absence of rescheduled loans report to ensure that appropriate approvals were granted and new conditions	***Georges Sfeir (General Manager):*** We already have excel report mentioning all details concerning the rescheduled	

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						applied. ***Audit Comments***: Issue is downgraded to low since a proper control is conducted on the rescheduled loans by the commercial, CAD staff and internal controller staff	loans i.e Client, CIF, amount, early settlement + interest, new amount, monthly bills, etc… Noting that we have only 2 rescheduled loans till date. We repeat our reply sent to you on 30/06/2017: This issue should be removed, since after referring to BT, projects & system development, BBL LRU and International support dept they assured that your request is not available on globus. We suggest to remove this issue.	
35	BBS	OA	>24	L		***Defaulting commercial clients (BBS Loan Recovery - 2013):*** Defaulted commercial clients were not flagged on Globus as LR nor subject to override messages requiring proper approvals and to control related deposits and withdrawals thus, jeopardizing the monitoring of accounts' movements. Moreover, the defaulted commercial clients' files were solely handled by the commercial department causing a potential conflict of interest. Ultimately, such cases should be transferred to LRU according to a validated process.	***Georges Sfeir (General Manager):*** This issue shall be considered low The issues raised is due to the inexistence of Commercial LRU department within the Organization Chart of BBS, accordingly the process is handled by Commercial Department as they have the relation with clients and the need to maintain the relation, if possible, and collect whatever possible.- Regarding the Potential Collusion mentioned in your assessment, there is no	Procedure

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						Audit Comments: Issue is downgraded to low since a report from web reporting system is extracted for all defaulted commercial clients. This report is checked by the RM, the head of unit and the head of department then sent to BBL Credit Risk Management. However the CIFs are not yet flagged as LRU.	probability of this illusion for the following reasons:*The different layer in the commercial department which means that each file is handled by an RM supervised by a Senior RM, Head of Unit, and Head of Commercial Department.* There is close follow up done by each layer of the commercial department.* Unpaid of commercial portfolio is being followed up frequently and closely by Risk Department and Credit Committee with case by case follow-up. Accordingly, relevant committees are being updated frequently on all clients including the defaulted ones.- Creation of Commercial LRU Department in the future is a good idea provided the proper set-up is available (existence of Risk Department in BBS for corporate and MM) and the availability of needed qualified personnel with good experience in Credit and Legal aspects.- All cases mentioned above have been rectified as Commercial Department is following the	

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							appropriate procedures and getting the proper approvals in all cases. Also relevant committees are being updated frequently on all the defaulted clients' positions.	
36	BBS	OA	>24	L		***Control/Authorization Over Amendments On CIF Fields (043-BBS-OA-005-11):*** 1. The report extracted does not show the actual inputter and authorizer on the name amendment, and it does not show the override approval when exists.2. When the client's name to be amended includes more characters than it can be inputted into the CIF module, the compliance function uses a separate module. However, any new amendment over the CIF module (not necessary name amendment) would override the name amendment performed using the second module and reput the name as it was before amendment. Thus, the new amendment will be shown as name amendment while it is not the case. This is a system weakness that needs BT intervention.3. There is no consistency in the process of the name amendment whereas not all CIF	***Georges Sfeir (General Manager):*** 1- Log no C20997 is life since 10/04/2014 knowing that the PB also can input the information manually. We will maintain current process. No names amendments are effected at the branch level.2- Will coordinate with BBL to solve this issue.3- The amendment of the name will be executed by the branch coordination very soon and the CRF was sent to BT LOG Nr. (C29537).	

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						names amendments were inputted and authorized by the Compliance function. Moreover, we noted that amendments over customers' names can be authorized by branches if not timely approved by the Compliance function. It is worth mentioning that the review over the web report (CPL09SY- List of CIF names amended) was not documented. ***Audit Comments***: Issue will be reassessed after finishing the compliance and AML job		
37	BBS	OA	>24	L		***Central Bank decisions (043-BBS-OA-005-11):*** 1. The action plan for KYC cleansing has been put to work after March 30, 2011 however, it does not include due dates to achieve this requirement.2. BBS did not adopt a risk-based approach to classify clients in accordance with the level of risks. (departure from CBoS decision 6 article 13). ***Audit Comments:*** Issue will be reassessed after finishing the compliance and AML job	***Georges Sfeir (General Manager):*** 1- There is no due date since it is a continues process. We suggest to remove this issue.2- We are working on SIRON(AML solution + RBA) , and we are waiting BBL to answer some questions to enabling us to continue working on it.	
38	BBS	OA	>24	L		***Procedure And Job Descriptions (043-BBS-OA-005-11):*** 1. The job description signed by the Compliance officers was not identical,	***Georges Sfeir (General Manager):*** 1- JD completed at BBS level and still pending at HR Lebanon. HR	

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						although both perform the same duties. 2. Major tasks performed by the officers are not included in the job description such as CMLC & CBOS reporting.3. Some duties assigned in the job descriptions, such as continuous review and control of branch report regarding some specific suspense accounts and ensuring specimen of signatures are introduced on Sigcap, are not handled by the Compliance officers. It is worth mentioning that in the absence of the senior Compliance officer, the other officer signed the reports addressed to CMLC in his name on her behalf although his replacement of the FIU was not officially communicated to CBOS. ***Audit Comments***: Issue will be reassessed after finishing the compliance and AML job**.**	Syria will follow up with them accordingly.2- The management sent to CMLC a letter informing them that Mr. Chaalan El Bitar is the RO replacement. We suggest to remove this issue.	
39	BBS	OA	>24	L		***Absence of limit by dealer (102-BBS-11-08):*** The dealers operating at the Treasury department have no documented and pre-approved limit to perform deals. As such, they can engage the Bank by positions without being detected or challenged. We recommend the	***Georges Sfeir (General Manager):*** We have limits for banks approved by FI dept in Lebanon. All MM and FX limits with correspondents have been cancelled. FX deals are done only with BBL & CBOS (Noting	Ongoing

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						implementation by the Management Committee of documented and approved limits for each dealer. ***Audit Comments***: Issue is still outstanding since we tested four Money market and two FX and noted that two renewed Money market were missing the GM approval. MM1634800001, MM1622200001	that special requirements are needed to execute an FX deal with CBOS).Finance dept is checking BBS positions on a daily basis. In addition, we don't have limit by dealer in all BB group. Please note that all MM deals are approved by the GM/DGM.(Please check with treasury BBS/ BBL + Back office + BBS Finance dept).Please remove this issue.	
40	BBS	OA	>24	L		***Manual Reconciliation process (087-BBS-09-08):*** Nostro reconciliation process is being manually processed, which is ineffective and time consuming. We recommend that Management coordinate with BT in order to automate the reconciliation to shorten the process and increase its efficiency. ***Audit Comments:*** Issue is still outstanding since the reconciliation process is being processed manually through the menu called Manual Matching allowing the comparison and clearance of matching items. However starting Oct 2017 the reconciliation unit is extracting the	***Georges Sfeir (General Manager):*** Please note all public banks do not send SWIFTS MT950 (N/A). We suggest to remove this issue. We will start to print the report from the first of October based on the new procedure for Reconciliation that shows the manual matching on daily basis. This report will be checked by Saleem and signed by me.	System Enhancement

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						manual matching item report on a daily basis in order to be checked on a senior level thus we will reassess the issue in the next quarter by testing a sample of extract report.		
41	BBS	OA	>24	L		***Commissions on Outgoing Transfers (096-BBS-10-08):*** We noted weaknesses related to the collection of commissions on outgoing transfers.1. Since management decided to collect a commission of SYP 150 on transfers in Syrian pounds without any swift charges, we recommend the restriction of PL52709 (swift charges) and the automatic booking of SYP 150 with the ability to waive these charges for large clients only at the branch management level.2. Globus does not differentiate between transfers executed over clients' accounts and employees' accounts because the same commission is collected from both. Different commission and swift charge tables should be tailored based on sectors.3. In addition, we encountered a case, where the swift charges collected were below the minimum USD 15 set and the transaction did not show any	***Georges Sfeir (General Manager):*** Log still under test. We faced a problem with the system while testing. Last update from BT was on 10/8/2017 that the problem with the test is not fixed yet. A reminder sends from our side on 24/9/2017.	

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						commission override. We recommend that any change in commissions and swift charges necessitate a BM/ABM override. ***Audit Comments***: Commissions on transfer out for BBS employees were specified by the management however there are still manually collected.		
42	BBS	OA	>24	L		***Commission on Returned Checks (061-BBS-06-09):*** 1. Commissions on returned Byblos checks is manual. In addition, the commissions were not always charged at the branch level.2. Commissions on returned purchased checks is automated. However, the commissions were not always charged. A clear list of clients exempted from commissions should be available in each branch to support the reason of not charging the commissions .In addition, for Byblos checks, we recommend the automation of the commission from within the module. ***Audit Comments***: The commission on returned check is automated however BCU is preparing list of exempted clients on T2	***Georges Sfeir (General Manager):*** The commissions is now automated – as advised by Mr. Nawras Al Sammour- and we don't have any exempted list for any customer regarding returned check. However we are going on with the pricing list development and it was logged under number: C26776.Based on the above we believe that this issue should be removed in the next quarter report. The commissions is now automated – as advised by Mr. Nawras Al Sammour- and we don't have any exempted list for any customer regarding returned check. However we are going on with the pricing list development and it was logged	System Enhancement

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							under number: C26776.Based on the above we believe that this issue should be removed in the next quarter report.	
43	BBS	OA	>24	L		***Financial Reporting (085-OA-13-06):*** The accounting department in Byblos Bank S.A.L. is still receiving monthly manually prepared financial reports from Byblos bank Syria rather than system generated reports. ***Audit Comments***: issue is downgraded to low since part of the required reports are generated from access database	***Georges Sfeir (General Manager):*** Same as issue no. 3, 80% of reports are generated from access database after 3 accountants attended an advance course on Access. Furthermore, 2 reports were requested from BBL which will facilitate the 2 main reports requiring a lot of time (Legal Lending Limits and Classification). They are under testing now. In addition, we are checking for a local provider of reporting software or Business Intelligence. We suggest to merge this issue with issue No.3.	System Implementation
44	BBS	OA	>24	L		***Check Clearing (085-OA-13-06):*** Checks are processed manually due to lack of standardized coding for checks in the Syrian Market which increases the risk of human error.	***Georges Sfeir (General Manager):*** Check readers offers are received and approved by management committee. BCU is working now on the development on Globus with the IT; once finished we will	Ongoing

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							purchase the machine and start using them, as per attached email.	
45	BBS	CRA	12-24	L		***Discrepancies in the Collateral Documentation (BBS-Assessment of the Credit Administration Unit Activities):*** 1- The signature of Byblos representatives were missing in 3 PG signed in Vienna (Kuzbari Group); and for the C/G increase signed in Luxembourg (Sharikat Altanmia).2- Sharikat Altanmia: The BOD for the re-election of the GM who signed on the C/G reminders in 2014 and 2016 were not obtained; in addition, no legal opinion was obtained on the enforceability of the C/G vs. EU sanctions on Syria. The MD of the said C/G was not booked due to missing info.3- Eastmed: upon our request, new general assembly minutes of meeting and legal visa were requested revealing that the borrowing right was changed prior to the signature of the last offer letter. Although a new offer letter was signed in Nov. 2016, however, the borrowing right was not confirmed by the legal unit since it was not	***Georges Sfeir (General Manager):*** 1- Kuzbari Group: The guarantors live out of the country; & they already have CIFs in BBS and their signatures were confirmed by our team/branch; we have a very good relationship with the group; Altanmia: The original corporate guarantee which was signed in presence of BBE employee covers more than 130% of total facility; the signature of the GM on the increase was confirmed.2- Altanmia: The initial Guarantee was signed by Mr. Hrechdakian who had the authority to do so at the date of signature of the initial C/G, accordingly, the C/G is enforceable; the C/G is prepared using the forms of BBS and according to Syrian laws and considered enforceable in Syrian courts; regarding the MD, the guarantor is not willing to sign	Regular

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						specified in the latest general assembly.4- The GC were not signed by all guarantors in the cases of Kuzbari Group & Lead. ***Audit Comments***: Point 1 is cleared since the guarantors live abroad and their signatures were conformed. For point 2, BBS management should obtain CCC waiver of the legal opinion, as to the un-booked MD, it is cleared since the C/G is being reported manually. Hence, issue is downgraded to "Low".	the documents KYC for the time being. I suggest to clear due to the inexistence of risks and being an administrative issue related only to Byblos internal procedure but is doesn't affect the enforceability at all 3- Eastmed: rectified.4- Noted.	
46	BBS	OA	12-24	L		***Annual leaves (126-BBS-OA-015-15):*** When reviewing the annual leaves taken by Accounting employees involved in the reporting process, we noted that 4 did not take 10 consecutive vacation days during 2014 and 3 did not take these mandatory vacation days in 2015. Moreover, concerned staff did not deactivate their T24 profiles before taking their annual leaves. Accounting should ensure that all staff members are taking 10 consecutive working days of vacation and that their related profiles are being properly deactivated during their absence.	***Georges Sfeir (General Manager):*** as of 2018, we will try to give all employees 10 consecutive days, if possible since it is not always practical due to deadlines	Procedure

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47	BBS	CRA	6-12	L		***Documentation (BBS - 2016):*** From the selected sample of 20 files, we noted the following discrepancies: 1- In 2 cases, offer letters were outdated.2- In 2 cases, PG/CG reminders were outdated.3- In 1 case, the requested P/G increases were not obtained.4- In 2 cases, term loan agreements were not signed by the guarantors.5- In one case, appraisal is outdated. In another case, seizures on plots were not removed as per CCC request.6- Previous O/S issues were not rectified: Outdated offer letters (5 cases); Outdated PG/CG reminders (4 cases); Plegde on machines not obtained (1 case); Outdated & missing appraisal (1 case); missing documentation for the opening of CIFs for PGs (2 cases); the applied interest rates following last increases were not formally approved by the borrowers (3 cases). ***Audit Comments***: Point 4 is cleared since court confirmed the loan for Hajjeh & Bitar and for Abdul Aziz Sukhni the loan is almost settled (remaining SYP 4M). In point 5, the issue is cleared for Hajjeh & Bitar since the plot is in the industrial zone	***Georges Sfeir (General Manager):*** We agreed to downgrade the issue level to "Low"; in addition we agreed on the below:1. We agreed that in cases where the client/guarantor is not reachable, then a list to be prepared to CCC for waiver.2. We agreed that in cases where the client/guarantor is not reachable, then a list to be prepared to CCC for waiver.3. Guarantees not obtained: Madar Coil Coating: to maintain4. Madar Aluminum: undertaking letter to use direct facilities in SYP: rectified.5. We agreed to remove6. Hajjeh w Bitar: We agreed to clear. Ghassn Sukar: We agreed that BBS should obtain CCC waiver.7.• Outdated offer letters (5 cases); We agreed that BBS shall obtain CCC waiver• Outdated PG/CG reminders (4 cases); We agreed that BBS shall obtain CCC waiver + to clear the case of Zaheer Faysal since account is closed. And Soukhni	Ongoing

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						and it is subject to negative pledge only. Point 6 is cleared for the issue of "Missing documentation for the opening of CIFs for PGs" given that the PGs are being reported manually, and for the issue of "interest rate..." since the clients are transferred to legal. Therefore, issue is downgraded to "Low".	since facility is fully closed too.• Pledge on machines not obtained (1 case): We agreed to maintain to downgrade to low since there is nothing to be done from our side, where we are still waiting for client to finalize the registration of the machines.• Outdated & missing appraisal (1 case): We agreed to maintain. This issue shall be downgraded for clients whom their plots are located in unreachable/ hot spot locations (such as Ganama, whom his plot is located in Deir Zore) and for plots that we only have negative pledge without proxy or retention of title deed such as the case of Hajje and Bitar• Missing documentation for the opening of CIFs for PGs (2 cases): we agreed to remove since MDs are being reported manually. • The applied interest rates following last increases were not formally approved by the borrowers (3 cases): we agreed to remove	
48	BBS	CRA	6-12	L		***Classification (BBS - 2016):*** Out of the 13 tested regular accounts,	***Georges Sfeir (General Manager):***	Regular

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						we found one case ("Haytham Soubhi Joud") where the account movement was weak, as total deposits were below 2 times the facility and the minimum debit balance was above 10% of the facility, in addition to repetitive excesses over the limit. The account should be classified "Watch List – 3" as per CBoS regulations. Moreover, when assessing the borrowers' account movement for classification purpose according to CBoS decree No 902, BBS should remove all inflated transactions i.e. loans or bills proceeds, returned checks, cancelled transactions, and transfers between two accounts pertaining to the same borrower. ***Audit Comments:*** The account of Soubhi Joud was classified "Watch List"; hence to remove this point. As to the rest of the issue it was stated by BBS management that 80% of the O/D facilities were already closed and the remaining will also be closed, hence we will keep the issue until all O/D facilities are closed and in the meantime the issue is downgraded to "Low".	Haytham Joud: rectified.	

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49	BBS	CRA	6-12	L		***Excesses not Approved (BBS - 2016):*** We found 2 cases ("Hadaya Motors"; "Ghassan & Hassan Sukar") where excesses for SYP 145M and SYP 36M respectively were approved solely by BBS. These excesses exceeded the allowed amount granted to BBS committee being SYP 10M. BBS should comply with the CPPM which states that excesses at the level of BBS should not exceed 20% of the facility with a maximum of SYP 10M, or else an approval should be obtained from BBL. Another option is to update the CPPM accordingly. ***Audit Comments:*** The excess of Hadaya is settled. As to that of Hassan Sukar, there is still an LG O/S for SYP 14,918K which is booked with no limit. Hence issue is downgraded to "Low".	***Georges Sfeir (General Manager):*** The final version of CPPM is under final review in head office; expected to be issued shortly. It includes a new set of authorities. Noting that the mentioned excess of Hadaya was settled. Noting that Hadaya issue to be cleared since the file was sent to CCC after the excess date and it was rectified, and Ghassan Succar will be rectified before end of November.	Regular
50	BBS	CRA	6-12	L		***Non-Standard Conditions applied on NPL (BBS - 2016):*** From the selected sample of NPL, we found 10 cases where different debit interest rates and commissions were applied on the same borrowers' accounts. ADIs related to overdraft accounts included the limit originally granted; hence, the portion of O/S up	***Georges Sfeir (General Manager):*** We already took CCC approval on 03/05/2017 and a proposal is prepared in this regard on how to treat each case separately to be validated by BOD before year end. The risks of this issue is insignificant and we suggest to	Regular

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						to this limit was not charged a penalty while the remaining portion and due unpaid financing were charged. In addition, the quarterly commission 2‰ was applied on the overdrafts and not on the due unpaid financing. Interest rates and commissions applied on each NPL borrower's accounts (more specifically overdrafts and post financing) should be the same, as total O/S was in default. Commercial should prepare a proposal including legal opinion on the conditions to be applied on NPL and should obtain Management's written approval in both BBS and BBL. ***Audit Comments***: BBS management stated that they already sent a proposal to CCC, and CCC agreed with conditions; a final list will be sent to CCC by end of Sept. 2017 before getting the approval of the board. In the meantime issue is downgraded to "Low".	remove it since its under process for final solution.	
51	BBS	CRA	6-12	L		***Financials (BBS - 2016):*** Out of the 16 tested files (excluding classified bad), we found the following discrepancies:1- In 2 cases, financials were not obtained (Asaad Atalla; Shrikat Hijja wa Bitar).2- In 3	***Georges Sfeir (General Manager):*** This issue shall be considered low where:1- Asaad Moris Atalla: Client's main business in Syria being construction is	Ongoing

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						cases, financials were unaudited (Joud; Loutfi; Hadaya).3- In one case, last available financial statements dated back to 2014 (Loutfi).4- In 5 cases, financials statement obtained were not spread. ***Audit Comments***: Point 1 & 3 are cleared following BBS clarifications. Hence, issue is downgraded to "Low".	stopped since 2012 hence no financials are being done, however current operations of the client being procurement contracts with public entities, are being financed from us on project by project basis where the feasibility of each contract is being studied and presented, and the cost and proceeds are being processed at our counters, which reflect the true financial performance of the client. This application is already circulated and approved by the CCC this would mean that the CCC verified this issue by accepting the file as is. Hijja wa Bitar: we agreed that this issue to be cleared. the client's facility represents rescheduling loan i.e. is on exit basis, hence the client is out of business since 2012 so he couldn't provide us with his financials and other needed documents for a proper renewal (noting that we won't be offering the client any new/additional facilities prior to having full details/updates over	

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							his business). 2- Haytham Joud-Hadaya Motors Trading: Audited financials are not required as per both CBoS 902 decree & according to the Syrian Commercial law. It is only BBS internal procedure. Accordingly the issue shall be considered low. Mohammad Imad Adel Loutfi: we negotiated that the issue of Imad Loutfi shall be cleared from the report. The client plant in Aleppo was fully destroyed during the misfortunate city crisis. Accordingly the client was able to obtain the approval of the Ministry of finance not to present any financial statements for the time being, which is already mentioned in file renewal.3- in case of financials obtained and not spread, upon receiving the financials we review them and in case there is any critical issue we proceed with the spreading prior to file renewal date. we agreed for the upcoming period and in case there is no critical figures to	

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at September 30, 2017	Reply as at September 30, 2017	Issue Category
							stamp the obtained and not spread financials with a review stamp prior to file maturity date. I suggest that the overall issue is to be downgraded to low after clearing the solved issues	
52	BBS	CRA	6-12	L		***CA presentation (BBS - 2016):*** From the selected sample of files, the following discrepancies were noted in the presentation of the CAs: 1- In 1 case (Imad Loutfi), the presented CA was restricted to the CA Form and a summarized credit memo. In three other CAs where the purpose was a rescheduling of total O/S and classification upgrade from "6", the source of repayment was not identified. (Sharikat Ajneht Al Sham; Madar Coil Coating; Shrikat Hijja wa Bitar).2- In 2 cases, the account movement reported in the CA was inflated.3- In 2 cases, the reported collateral coverage ratio in the CA was overstated.4- In cases where financials obtained from borrowers are audited but not by prime auditors, RMs state in the spread that these financials are company prepared. ***Audit Comments:*** In point 1, the issue	***Georges Sfeir (General Manager):*** 1- Summarized CA: Mohammad Imad Loutfi file it is clearly mentioned in the CA page 2 that the granted facility under the personal name of Imad Loutfi is mainly used to finance the long term financing of fixed assets & some of Technopack CIF# 212898 (affiliate company) local purchases and expenses where we kept the facility under his personal name in order to maximize our benefits from the available first degree mortgage to BBS favor. Accordingly this issue shall be cleared.2- Source of Repayment: The note was circulated to related RM and other commercial team and will be taken into consideration for extra caution in future renewals.	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at September 30, 2017	Reply as at September 30, 2017	Issue Category
						of "Imad Loutfi" is cleared since the CA states that the facilities are for Technopack. Hence issue is downgraded to "Low".	Meanwhile Madar Coil Coating issue has been rectified. point 3 & 4: The note was circulated to related RM and other commercial team and will be taken into consideration for extra caution in future renewals .I suggest to downgrade the overall issue to low.	
53	BBS	ITA	6-12	L		***Debit Cards Having Wrong Phone Number Format (120-BBS-IT-016-16):*** We noticed that around 234 active cards with phone numbers fields' equal "blank" or have "wrong format numbers". We recommend BBS management to request from BT the possibility of restricting "blank" or "wrong format numbers" values from being inputted in the phone number fields on CAMS. ***Audit Comments:*** BBS management decided to disable the SMS for the time being, current cards in Syria are only working on ATMs related to Byblos Bank and PIN IS NEEDED to perform the transaction, Taking above fact and the cost of the SMS , BBS decided to remove the SMS from the BBS-PSY 15 procedure. Therefore the issue will be downgraded to LOW. On	***Georges Sfeir (General Manager):*** Since the POS is not available in Syria now. That risk is considered low. Plus, it's a high cost service, so the management decided to disable the SMS for the time being. On Q3-2017, we will ask the BT to restrict inputting "blank" or "wrong format numbers" values in the phone number fields.	System Enhancement

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at September 30, 2017	Reply as at September 30, 2017	Issue Category
						the other hand, we recommend BBS to request from BT restricting "blank" or "wrong format numbers" values from being inputted in the phone number fields on CAMS.		
54	BBS	ITA	6-12	L	12/31/2017	***Commissions on Financial and Non-Financial Transactions (120-BBS-IT-016-16):*** Payable and acquired commissions' received from CSC on monthly basis were not reconciled to any in-house generated reports or logs. Instead, the cards unit was limiting its scope to verifying the accuracy of the reports amount received from CSC and ensuring that rates are properly applied in CSC's statements through dividing the lump sum amounts by the number of transactions executed for each financial and non-financial transactions' category. On the other hand, non-financial transactions executed by BBS cardholders on CSC or other networks' ATMs were settled by BBS as part of the settlements, however, not charged to customers' accounts. We recommend BBS cards operations to coordinate with BBL, to study the possibility of reconciling the acquired commissions' received from	***Georges Sfeir (General Manager):*** 1- Unable to control since CSC is the switch owner, the E- journal is written by order of CSC Switch. We suggest to remove this issue.2-BT Help desk have been re-contacted and promise us to solve it starting September , noting that the related CRF C24975 is logged from 2015, we suggest to decrease the risk level to low due to tiny monthly average amount (USD40) paid to CSC.	System Enhancement

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at September 30, 2017	Reply as at September 30, 2017	Issue Category
						CSC. On the other hand, BBS management should check the possibility of charging the non-financial transactions to customers' accounts. ***Audit Comments***: After following up with BT, this issue is expected to be rectified by end of Q4 2017.		
55	BBS	ITA	6-12	L		***Oracle Updates and Patches were not Installed (120-BBS-IT-016-16):*** Security updates and patches were not being applied when appropriate on the Oracle Open2 database. In addition, the Oracle Database running version is 10.2g which is no longer supported by the Oracle provider. We recommend BT to study the possibility of upgrading the Oracle Database release to a version supported by Oracle provider. Consequently, security updates and hotfixes should be tested to be installed on timely basis.	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** Issue delayed due to other priorities. It will be assessed for Lebanon in Q4-2017.	Regular
56	BBS	ITA	6-12	L		***Users having Conventional Passwords and FTP access on the UNIX Level (120-BBS-IT-016-16):*** We noted during testing, that the "ROOT" profile was found having FTP access on the production and backup servers. As per the security checklist	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** The root profile is used in most of FTP and backup scripts and hence cannot be restricted.	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at September 30, 2017	Reply as at September 30, 2017	Issue Category
						for UNIX Servers, "ROOT" user should be restricted from using FTP. We recommend BT to assess all users' profiles (where password policy is not applied), apply a special password security policy, and limit FTP access only to authorized users. ***Audit Comments***: Still pending, "root" profile sill have FTP access which is not in compliance with the security checklist for UNIX Servers. BT to check with ISD a solution for the current situation.	Issue to be closed. Issue to be checked with information security.	
57	BBS	OA	6-12	L		***Procedure & Purchasing Committee Charter (185-BBS-OA-020-15):*** We noted several deviations from the Assets Purchase & Inventory procedure (Branches were submitting their requests directly to Finance & Administration Department without passing Through Branch Coordination Unit, Bidding envelopes were being opened by the Administration Unit in the presence of the Head of Finance and Administration instead of BBS purchasing committee, etc.).In addition, the procedure was missing some processes (processing of expenses/purchases over Trilog & the Inventory System) and major	***Georges Sfeir (General Manager):*** We already sent a request to International Department in order to update the PSY11. The Charter will be updated accordingly. We suggest to decrease this issue to Low.	Procedure

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at September 30, 2017	Reply as at September 30, 2017	Issue Category
						principles (threshold amount above which, prepayments should be subject to amortization over the period covered by the related expense, thresholds for considering purchased items should be recognized as assets or expenses).On the other hand, the Purchasing Committee Charter needs to be updated (dated 2010).***Audit Comments***: Issue is downgraded to L since the procedure and the charter are scheduled to be updated during Q1 2018 as per OSP.		
58	BBS	OA	6-12	L		***Budget Monitoring Tool (185-BBS-OA-020-15):*** The Bank did not have a budget monitoring tool that ensures effective preventive controls on excess over budget. The Accounting department is monitoring the Bank's budget on Excel at the end of each month. We recommend the implementation of a budget monitoring tool that enables the Bank to monitor efficiently the assets' purchases and expenses. ***Audit Comments***: Issue is downgrade to L since proper control is conducted by the accounting team and the head of department as we checked the excel sheet of Sept 2017 that shown	***Georges Sfeir (General Manager):*** The Head of Finance and Admin is monitoring the evolution of expenses on a monthly basis against the yearly budget of the bank. Furthermore, the Accountant sends to all branches on a quarterly basis the actual vs. budget figures by branch. It should be noted that any PL to be debited by the branch (with amounts exceeding the set limits of SYP 5,000 or 10,000) a second auto is required from the Accounting team. If there is an excess over	Control

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at September 30, 2017	Reply as at September 30, 2017	Issue Category
						the paid expenses verse budget and noted that the head of unit adds a comments for abnormal deviation. In addition accounting unit each quarter send an e-mail to branches regarding their annual budget	the budget, any expense should be approved by the Head of Finance and Admin and the GM. Please remove this issue.	
59	BBS	OA	6-12	L		***Annual Leaves and Job Descriptions (185-BBS-OA-020-15):*** We reviewed the annual leaves taken by the administration employees during 2014 & 2015and noted that 12 and 10 employees did not take 10 consecutive days respectively during2014 and 2015. The findings pertaining to Job Descriptions were sorted out after audit. ***Audit Comments***: issue is still outstanding since 12 employees did not take 10 consecutive days during 2016. (Riad Al Khatib - Ghassan Al Haddad - MHD. Eyad Basha - Alaa Moussa - Ammar Baghdad - Mouhamad Alouche - Farouk Al Khatib - Georges Bitar - Adnan Alhelal - Mouyad Al Abtah - Bassel Alkhen - Osama Alfandi).	***Georges Sfeir (General Manager):*** as of 2018, we will try to give all employees 10 consecutive days***.***	Procedure

APPENDIX II - INDEX OF CLEARED/DOWNGRADED ISSUES

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
1	BBS	ITA	6-12	H	C	***Open2 Password Policy Weaknesses (120-BBS-IT-016-16):*** We noticed that the applied password policy is not properly working on the "password minimum length"and the "required special character". We were able to insert a password of 1 number with no special character. Consequently, users can input any password disregard the minimum and maximum length and the required numeric and special characters. We recommend BT in coordination with Information Security Department (ISD) to apply the password parameters recommended by the Logical Access policy. In addition, BT in coordination with the provider should ensure that password policies will be applied on CAMS application (Change/ Rest password). ***Audit Comments***: Password policy is applied on Open 2 Syria. Therefore, issue to be closed.	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** Issue is under testing, expected to go live in April 2017.
2	BBS	OA	6-12	M	C	***Prepaid Expenses (185-BBS-OA-020-15):*** We checked the calculation and booking of prepaid expenses and noted that prepayments (extracted from Trilog) are being booked in T24 through batches that are processed on monthly basis. However, these prepayments are not being	***Georges Sfeir (General Manager):*** It should be noted that these are automatic entries posted through batches and the probability of error is zero. If something is wrong or an account is missing, the tape will not be passed since it automatically reconciles

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
						subsequently controlled to ensure accuracy and proper booking. ***Audit Comments***: Issue is closed since proper control is conducted by the head of finance**.**	debits and credits. Note also, that any deviation or irregularity in expenses will appear at beginning of the coming month since the evolution is controlled on monthly basis by the Head of Finance and Admin. Please remove this issue.
3	BBS	OA	6-12	M	C	***General Expenses (185-BBS-OA-020-15):*** The audit over general expenses revealed some irregularities in the booking process as some transactions (2 out of 79) were booked on the wrong PLs. Additionally, 6 out of 79 transactions had invoices or supporting documents missing Management signatures as proof of control (rectified in one case after audit3). Also, we noted cases where provisions (provision for Bonus & Provision for tuition fees)4 had debit balances, yet, they were netted from other provisions instead of being reported under the prepayments in the assets side (Rectified in 2016).On the other hand, the review of fuel expenses and mission travelling expenses during 2016revealed irregularities, as we noted that:§ Fuel replenishments prices were not continuously challenged by Administration (refer to appendix III).§ The transportation fees for the employees who used their personal motor vehicle to accomplish some required tasks, were not reimbursed on a standardized manner as required	***Georges Sfeir (General Manager):*** We recommend re-assessing the fuel issue since it has been organized and we are getting 3 offers and choosing the best. Noting that it is normal in this current situation in Syria and in the absence of fuel from the governmental agency to buy it from the black market. So in winter due to shortage of fuel, the suppliers will increase their prices since there is a high demand. GM approval on the bill was rectified. Regarding the travelling expenses, the per diem is unified by the HR as SYP 3,000 and it is followed as of June 2017 except for specific cases. Please remove this issue.

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
						by the HR policy (e.g. an amount of SYP 40,000 was paid as a lump sum to a BBS employee who was assigned to deliver safe key outside Damascus territory using his personal motor vehicles instead of mileage reimbursement5 to cover his expense). ***Audit Comments***: Issue is closed since We tested the Fuel replenishments prices and the travelling expenses from 1-6-2017 till 2-10-2017 and noted the fluctuation in prices are within the range of the governmental price (SYP 293 per liter) and the differences in per diem expenses are justified by the head of finance.	
4	BBS	OA	6-12	M	C	***Inventory Management (185-BBS-OA-020-15):*** The physical inventory count over the storeroom items was performed by the Accounting instead of the Head of Finance & Administration, and was improperly undertaken since it was not done on periodic basis2 and did not cover the entire stock rather a sample. Also, we noted only 1 physical control performed during 2015 over blank banker checks and it was not reconciled against T24 balances, rather against excel sheet manually updated. Furthermore, in three cases of monthly control over clients' checkbooks, differences between physical counts and T24 balances were	***Georges Sfeir (General Manager):*** The full physical control will be done semi-annually (in June and December) as of 2017. But at end of month will be done on a sample basis since it is time consuming and cannot be done fully at each end of month. As for Byblos forms, it is unpractical to count all papers. Please remove this issue.

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
						noted without being justified and properly sorted out. On the other hand, management of stock available in the storeroom revealed some weaknesses in the applied controls as follows:§ Banker checks were neither safeguarded in the storeroom nor in a fire proof cabinet and related movements were not logged on a register for monitoring purpose;§ The use of clients' blank checkbooks was not supported by signed requests (rectified after audit); and§ No registers were maintained by the storekeeper/custodian to record movements overblank checkbook papers or banker checks. We recommend that the Head of Finance & Administration gives particular attention to the physical inventories and management of stocks by ensuring that independent controls overstocks are applied on periodic basis and on the entire stocks, are well documented and signed by the controller. Additionally, stocks should be properly safeguarded to avoid any mishap and should be used based on forms signed by the requestors and subject to a manual register. ***Audit Comments*** : Issue is Closed since full physical inventory count over the storeroom items was conducted in September 2017	
5	BBS	ITA	6-12	M	C	***Audit trail over The Application Level is not Complete (120-BBS-IT-016-16):***	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational***

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
						Audit trail over the CAMS application is not comprehensive and complete. In addition, we noticed while checking the CAMS event viewer that the activities (such as: profiles' creation and modification) being performed by ISD on CAMS users' profiles are not logged. We recommend BT in coordination with the provider to study the possibility of enhancing the available audit trail report, and include all activities performed by application administrators and ISD. If this is not possible we recommend developing a new report detailing user activities in a simpler and more informative way. ***Audit Comments***: Audit Trail over the CAMS application was implemented. therefore Issue to be closed.	***Support):*** Issue Solved on April 18th, 2017.
6	BBS	OA	12-24	M	C	***Checklist & Register (126-BBS-OA-015-15):*** The register maintained for the CBoS reporting was incomplete, as it only showed the status of reports (sent to CBoS/CBoS controller, checked, done, printed) without reflecting other essential details such as periodicity, responsible department, regulation, deadlines, submission date, amendments, etc. Moreover, this register was being updated on monthly basis without saving the previous versions. ***Audit Comments***: Issue is closed since an excel	***Georges Sfeir (General Manager):*** The checklist is complete and the register was done and a copy was sent to the Auditor. Issue solved.

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
						sheet is prepared by the accounting unit containing all the needed data	
7	BBS	CRA	12-24	M	C	***Discrepancies in the Pricing (BBS-Assessment of the Credit Administration Unit Activities):*** Most of the approved interest rates on O/D and short term loans were based on Term Deposit rates plus margin, with a minimum rate; however, the rates set in the ADI or LD pricing tables were the minumum and not linked to the TD. ***Audit Comments***: following BBS clarifications, issue is cleared.	***Georges Sfeir (General Manager):*** Clients in Syria are more familiar with fixed rates than with floating rates, accordingly their concern always is about the rate itself rather than linking this rate to any other benchmark. Anyway all clients are well informed of any changes in rates and all applied rates are well negotiated and approved / signed by clients. Issue should be cleared due to the market conditions when no floating rates are used in the country. Linking the rate with the CBoS is more a benchmarking. All rates are negotiated and approved in writing by clients.
8	BBS	OA	>24	M	D	***Insufficient recording duration of the DVRs (085-MEM-BBS-06-09) & Surveillance Camera Coverage at the Branches (112-MEM-BBS-10-09) (085-MEM-BBS-06-09):*** The duration of the DVR recording was insufficient and varied from one location to another. Moreover the surveillance cameras installed at the branches were either not properly functioning, not well focused and/or not covering all the important locations of the branches. In addition, the quality of the pictures is low and does not show the needed details. ***Audit Comments***: Issue is	***Georges Sfeir (General Manager):*** Regarding Hosh Blass, there is no connection (leased line) in the area. Regarding Aleppo, there is no electricity in the region and we cannot keep the generator running for the whole day and weekends so we are running it only during working hours. Noting that the management is aware of the above and accept the risk in the current situation. Noting that we are working to get leased line in Hosh Blass in order to have back 24 hours power. All other issues are solved since they are unexpected

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
						downgraded to M since the management accepted the risk. We checked the DVRs on 2-10-2017 and noted that the DVRs of Aleppo branch are not recording during the weekends and after working hours ,In addition the DVRS of Abbassein Archive and Sheraton Sednaya Hotel ATM are not recording . Furthermore the DVRs of Hosh Blass branch, the archives are not recording at all.	ones due to the old age of the DVRs. We suggest to decrease this issue to Medium.
9	BBS	OA	>24	M	C	***Budget for LRU (BBS Loan Recovery - 2013):*** The Loan Recovery Unit did not set annual performance budget to ensure that the unit is working in line with the Bank's strategy towards recovery of non-performing loans. LRU should prepare a yearly plan to be approved by BBS Management and cascaded down into KPIs for each LRU officer allowing the assessment of the unit's performance. ***Audit Comments***: Issue is closed since the budget is prepared by HD of LRU and approved by the GM (Mr.Georges Sfeir)	***Georges Sfeir (General Manager):*** Solved.
10	BBS	OA	>24	M	C	***Settlements through exchange companies (BBS Loan Recovery - 2013):*** In some regions (such as Homs and Aleppo, etc), LRU coordinated with exchange companies to ensure collection of due amounts due to the difficulty to get to branches' premises. However, the controls over the collection process were	***Georges Sfeir (General Manager):*** Feras Al Bittar (Head of Loan Recovery Retail Unit):Contract already sent to the Central Bank. BBS legal dept will coordinate with CBOS. We suggest to decrease this issue to low.Ammar Hassan(Head of Legal Support Unit):The contract is under study at CBoS.

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
						insufficient. There was a delay in crediting clients' accounts with the collected amounts for 46% of the sample. Also, the clients' settlements in the exchange companies were executed in the name of the office boy with a weak traceability and reconciliation process. Moreover, there is no insurance policy to cover the cash transported from exchange companies to BBS as well as the one kept in safe at LRU. The clients' settlements should be in the name of the bank, and a proper reconciliation with the exchange companies should be conducted on a periodic basis to avoid exposing the Bank to any embezzlement or dispute with clients. LRU should coordinate with the Administration to assess the opportunity of having an insurance policy on the transported cash and cash in LRU safe. ***Audit Comments***: Issue is closed since the contract was signed by both parties, However the bank is still waiting CBoS approval ,a remainder was sent to CBoS during this quarter	
11	BBS	OA	>24	M	D	***BBS Archives (030-MEM-BBS-OA-002-14):*** Discrepancies were noted regarding physical & environmental security controls over BBS archives as follows: Hosh Blass: the access to archives became very difficult and not secured. DVRs recordings are not accessible, due to electricity	***Georges Sfeir (General Manager):*** The main archive in the headoffice is now well organized. Still pending some documents in the archive of hos blass related to Homs branch that are in a plastic bag since they were transported from the damaged branch. The fire

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
						failures and absence of internet connection. Abou Remmaneh (Basement): No cameras inside the archive room. Abou Remmaneh (Mezzanine): The mezzanine lacks the physical and environmental security controls (no fire proof cabinets or partitions, no fire alarms or extinguishers, absence of waterdetector, no cameras). No access cards are available for Abou Remmaneh and Hosh Blass archives' areas. No centralized database and documented procedure. An electronic archiving solution along with a clear process should be implemented. ***Audit Comments***: Issue is downgraded to M since we visited, on 4/10/2017, BBS main archives and noted the following: Hosh Blass basement (main BBS archive): The documents are organized and the automatic fire extinguishers were found. however, neither alarm detectors nor DVR were functioning at Hosh Blass premise.Abou Remmaneh mezzanine was not set up properly as a bank archive, used as a sanitary and old disposable items warehouse and a CAD archiveAbou Remmaneh basement was organized	extinguishers were on the day the auditor was in hosh blass. As of the alarm, detector and DVR, they are not working since there is no lease line in the area. However, we are working with a supplier who promised to get us a leased line soon. Noting that after we started the E-Archiving, 65% of the documents are now scanned and available as soft copies. It should be noted that we are looking for a new location to be used as an archive since hosh blass is almost full. We suggest to decrease this issue to Low.
12	BBS	OA	6-12	L	D	***Procedure & Purchasing Committee Charter (185-BBS-OA-020-15):*** We noted several deviations from the Assets Purchase & Inventory procedure (Branches were	***Georges Sfeir (General Manager):*** We already sent a request to International Department in order to update the PSY11. The Charter will be updated accordingly. We

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
						submitting their requests directly to Finance & Administration Department without passing through Branch Coordination Unit, Bidding envelopes were being opened by the Administration Unit in the presence of the Head of Finance and Administration instead of BBS purchasing committee, etc.).In addition, the procedure was missing some processes (processing of expenses/purchases over Trilog & the Inventory System) and major principles (threshold amount above which, prepayments should be subject to amortization over the period covered by the related expense, thresholds for considering purchased items should be recognized as assets or expenses).On the other hand, the Purchasing Committee Charter needs to be updated (dated 2010). ***Audit Comments*** :Issue is downgraded to L since the procedure and the charter are scheduled to be updated during Q1 2018 as per OSP.	suggest to decrease this issue to Low.
13	BBS	OA	6-12	L	D	***Budget Monitoring Tool (185-BBS-OA-020-15):*** The Bank did not have a budget monitoring tool that ensures effective preventive controls on excess over budget. The Accounting department is monitoring the Bank's budget on Excel at the end of each month. We recommend the implementation of a budget monitoring tool that	***Georges Sfeir (General Manager):*** The Head of Finance and Admin is monitoring the evolution of expenses on a monthly basis against the yearly budget of the bank. Furthermore, the Accountant sends to all branches on a quarterly basis the actual vs. budget figures by branch. It should be noted

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
						enables the Bank to monitor efficiently the assets' purchases and expenses. ***Audit Comments***: Issue is downgrade to L since proper control is conducted by the accounting team and the head of department as we checked the excel sheet of Sept 2017 that shown the paid expenses verse budget and noted that the head of unit adds a comments for abnormal deviation. In addition accounting unit each quarter send an e-mail to branches regarding their annual budget	that any PL to be debited by the branch (with amounts exceeding the set limits of SYP 5,000 or 10,000) a second auto is required from the Accounting team. If there is an excess over the budget, any expense should be approved by the Head of Finance and Admin and the GM. Please remove this issue.
14	BBS	ITA	6-12	L	D	***Debit Cards Having Wrong Phone Number Format (120-BBS-IT-016-16):*** We noticed that around 234 active cards with phone numbers fields' equal "blank" or have "wrong format numbers". We recommend BBS management to request from BT the possibility of restricting "blank" or "wrong format numbers" values from being inputted in the phone number fields on CAMS. ***Audit Comments***: BBS management decided to disable the SMS for the time being, current cards in Syria are only working on ATMs related to Byblos Bank and PIN IS NEEDED to perform the transaction, Taking above fact and the cost of the SMS , BBS decided to remove the SMS from the BBS-PSY 15 procedure. Therefore the issue will be downgraded to LOW. On the other hand, we	***Georges Sfeir (General Manager):*** Since the POS is not available in Syria now. That risk is considered low. Plus, it's a high cost service, so the management decided to disable the SMS for the time being. On Q3-2017, we will ask the BT to restrict inputting "blank" or "wrong format numbers" values in the phone number fields.

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						recommend BBS to request from BT restricting "blank" or "wrong format numbers" values from being inputted in the phone number fields on CAMS.	
15	BBS	ITA	6-12	L	D	***Commissions on Financial and Non-Financial Transactions (120-BBS-IT-016-16):*** Payable and acquired commissions' received from CSC on monthly basis were not reconciled to any in-house generated reports or logs. Instead, the cards unit was limiting its scope to verifying the accuracy of the reports amount received from CSC and ensuring that rates are properly applied in CSC's statements through dividing the lump sum amounts by the number of transactions executed for each financial and non-financial transactions' category. On the other hand, non-financial transactions executed by BBS cardholders on CSC or other networks' ATMs were settled by BBS as part of the settlements, however, not charged to customers' accounts. We recommend BBS cards operations to coordinate with BBL, to study the possibility of reconciling the acquired commissions' received from CSC. On the other hand, BBS management should check the possibility of charging the non-financial transactions to customers' accounts. ***Audit Comments***: After following up with BT, this	***Georges Sfeir (General Manager):*** 1- Unable to control since CSC is the switch owner, the E- journal is written by order of CSC Switch. We suggest to remove this issue.2-BT Help desk have been re-contacted and promise us to solve it starting September , noting that the related CRF C24975 is logged from 2015, we suggest to decrease the risk level to low due to tiny monthly average amount (USD40) paid to CSC.

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
						issue is expected to be rectified by end of Q4 2017.	
16	BBS	ITA	6-12	L	C	***Debit Cards Accounts Exceptions (120-BBS-IT-016-16):*** We requested from BT the list of all active cards with their related accounts to ensure that all accounts are related to categories: current, checking or easy accounts, as mentioned in the DEBIT CARD BBS-PSY 15 procedure. We noticed that 4 cards are related to unauthorized account categories such as (1908, 8705…). It is worth mentioning that the cards default accounts related to authorized categories. We recommend BBS cards department to extract the list of all active cards with their related accounts, related categories and status. Consequently, unauthorized account categories including the above accounts should be removed. In addition, BBS cards operations should ensure that a control to restrict linking debit cards to any category other than the authorized categories (current, checking, easy accounts, etc.) is in place. ***Audit Comments***: BBS CAMS has now restriction for linking debit cards only to authorized categories. Therefore issue to be closed.	***Georges Sfeir (General Manager):*** CAMS already has restriction for linking debit cards only to authorized categories, so the above issue can be dismissed. And I think the list you mentioned is related to old systems problems.
17	BBS	ITA	6-12	L	C	***Active Debit Cards Related to Closed Accounts (120-BBS-IT-016-16):***	***Georges Sfeir (General Manager):*** In process. Will be solved within 14 days (to be

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
						We detected 5 active supplementary cards having their respective primary card status as cancelled, which is not compliant with the DEBIT CARD BBS-PSY 15 procedure. We recommend as stipulated in the procedure supplementary cards should be cancelled when the primary card is cancelled. Else related customers should be also contacted to issue new active cards. ***Audit Comments***: All exceptions noted during fieldwork were rectified. therefore, issue to be closed.	checked with cards unit after 14 days)
18	BBS	ITA	6-12	L	C	***Debit cards and ATMs Profitability Reports were not Prepared (120-BBS-IT-016-16):*** The debit cards and ATMs' profitability reports were not being prepared. It is worth mentioning that the preparation of such reports was not included in any related procedure as a regularly scheduled duty to be performed by BBS.We recommend BBS management to prepare the profitability report related to this line of business. We also urge BBS management in coordination with OSP to incorporate the preparation of the ATM and debit cards profitability reports within the BBS debit cards procedure. ***Audit Comments***: Report prepared (reference attached file), Therefore issue to be closed.	***Georges Sfeir (General Manager):*** Reports will be prepared starting 01 September 2017 (to be checked with the Head of retail)
19	BBS	CRA	6-12	L	D	***Non-Standard Conditions applied on NPL (BBS -***	***Georges Sfeir (General Manager):***

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
						2016): From the selected sample of NPL, we found 10 cases where different debit interest rates and commissions were applied on the same borrowers' accounts. ADIs related to overdraft accounts included the limit originally granted; hence, the portion of O/S up to this limit was not charged a penalty while the remaining portion and due unpaid financing were charged. In addition, the quarterly commission 2‰ was applied on the overdrafts and not on the due unpaid financing. Interest rates and commissions applied on each NPL borrower's accounts (more specifically overdrafts and post financing) should be the same, as total O/S was in default. Commercial should prepare a proposal including legal opinion on the conditions to be applied on NPL and should obtain Management's written approval in both BBS and BBL. ***Audit Comments***: BBS management stated that they already sent a proposal to CCC, and CCC agreed with conditions; a final list will be sent to CCC by end of Sept. 2017 before getting the approval of the board. In the meantime issue is downgraded to "Low".	We already took CCC approval on 03/05/2017 and a proposal is prepared in this regard on how to treat each case separately to be validated by BOD before year end. The risks of this issue is insignificant and we suggest to remove it since its under process for final solution.
20	BBS	CRA	6-12	L	D	***Financials (BBS - 2016):*** Out of the 16 tested files (excluding classified bad),	***Georges Sfeir (General Manager):*** This issue shall be considered low where:1-

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
						we found the following discrepancies:1- In 2 cases, financials were not obtained (Asaad Atalla; Shrikat Hijja wa Bitar).2- In 3 cases, financials were unaudited (Joud; Loutfi; Hadaya).3- In one case, last available financial statements dated back to 2014 (Loutfi).4- In 5 cases, financials statement obtained were not spread. ***Audit Comments***: Point 1 & 3 are cleared following BBS clarifications. Hence, issue is downgraded to "Low".	Asaad Moris Atalla: Client's main business in Syria being construction is stopped since 2012 hence no financials are being done, however current operations of the client being procurement contracts with public entities, are being financed from us on project by project basis where the feasibility of each contract is being studied and presented, and the cost and proceeds are being processed at our counters, which reflect the true financial performance of the client. This application is already circulated and approved by the CCC this would mean that the CCC verified this issue by accepting the file as is. Hijja wa Bitar: we agreed that this issue to be cleared. the client's facility represents rescheduling loan i.e. is on exit basis, hence the client is out of business since 2012 so he couldn't provide us with his financials and other needed documents for a proper renewal (noting that we won't be offering the client any new/additional facilities prior to having full details/updates over his business). 2- Haytham Joud- Hadaya Motors Trading: Audited financials are not required as per both CBoS 902 decree & according to the Syrian Commercial law. It is only BBS internal procedure. accordingly the issue shall be

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
							considered low. Mohammad Imad Adel Loutfi: we negotiated that the issue of Imad Loutfi shall be cleared from the report. The client plant in Aleppo was fully destroyed during the misfortunate city crisis. Accordingly the client was able to obtain the approval of the Ministry of finance not to present any financial statements for the time being, which is already mentioned in file renewal.3- in case of financials obtained and not spread, upon receiving the financials we review them and in case there is any critical issue we proceed with the spreading prior to file renewal date. we agreed for the upcoming period and in case there is no critical figures to stamp the obtained and not spread financials with a review stamp prior to file maturity date. I suggest that the overall issue is to be downgraded to low after clearing the solved issues
21	BBS	CRA	6-12	L	D	***CA presentation (BBS - 2016):*** From the selected sample of files, the following discrepancies were noted in the presentation of the CAs:1- In 1 case (Imad Loutfi), the presented CA was restricted to the CA Form and a summarized credit memo. In three other CAs where the purpose was a rescheduling of total O/S and classification upgrade from "6", the source of	***Georges Sfeir (General Manager):*** 1- Summarized CA: Mohammad Imad Loutfi file it is clearly mentioned in the CA page 2 that the granted facility under the personal name of Imad Loutfi is mainly used to finance the long term financing of fixed assets & some of Technopack CIF# 212898 (affiliate company) local purchases and expenses where we kept

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
						repayment was not identified. (Sharikat Ajneht Al Sham; Madar Coil Coating; Shrikat Hijja wa Bitar).2- In 2 cases, the account movement reported in the CA was inflated.3- In 2 cases, the reported collateral coverage ratio in the CA was overstated.4- In cases where financials obtained from borrowers are audited but not by prime auditors, RMs state in the spread that these financials are company prepared. ***Audit Comments***: In point 1, the issue of "Imad Loutfi" is cleared since the CA states that the facilities are for Technopack. Hence issue is downgraded to "Low".	the facility under his personal name in order to maximize our benefits from the available first degree mortgage to BBS favor. accordingly this issue shall be cleared.2- Source of Repayment: The note was circulated to related RM and other commercial team and will be taken into consideration for extra caution in future renewals . Meanwhile Madar Coil Coating issue has been rectified. point 3 & 4: The note was circulated to related RM and other commercial team and will be taken into consideration for extra caution in future renewals .I suggest to downgrade the overall issue to low.
22	BBS	CRA	6-12	L	D	***Documentation (BBS - 2016):*** From the selected sample of 20 files, we noted the following discrepancies:1- In 2 cases, offer letters were outdated.2- In 2 cases, PG/CG reminders were outdated.3- In 1 case, the requested P/G increases were not obtained.4- In 2 cases, term loan agreements were not signed by the guarantors.5- In one case, appraisal is outdated. In another case, seizures on plots were not removed as per CCC request.6- Previous O/S issues were not rectified: Outdated offer letters (5 cases); Outdated PG/CG reminders (4 cases); Plegde on machines not obtained (1 case); Outdated & missing appraisal (1 case); missing documentation for the	***Georges Sfeir (General Manager):*** We agreed to downgrade the issue level to "Low"; in addition we agreed on the below:1. We agreed that in cases where the client/guarantor is not reachable, then a list to be prepared to CCC for waiver.2. We agreed that in cases where the client/guarantor is not reachable, then a list to be prepared to CCC for waiver.3. Guarantees not obtained: Madar Coil Coating: to maintain4. Madar Aluminum: undertaking letter to use direct facilities in SYP: rectified.5. We agreed to remove6. Hajjeh w Bitar: We agreed to clear. Ghassn Sukar: We agreed that BBS should obtain CCC waiver.7.•

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
						opening of CIFs for PGs (2 cases); the applied interest rates following last increases were not formally approved by the borrowers (3 cases). ***Audit Comments***: Point 4 is cleared since court confirmed the loan for Hajjeh & Bitar and for Abdul Aziz Sukhni the loan is almost settled (remaining SYP 4M). In point 5, the issue is cleared for Hajjeh & Bitar since the plot is in the industrial zone and it is subject to negative pledge only. Point 6 is cleared for the issue of "Missing documentation for the opening of CIFs for PGs" given that the PGs are being reported manually, and for the issue of "interest rate..." since the clients are transferred to legal. Therefore, issue is downgraded to "Low".	Outdated offer letters (5 cases); We agreed that BBS shall obtain CCC waiver• Outdated PG/CG reminders (4 cases); We agreed that BBS shall obtain CCC waiver + to clear the case of Zaheer Faysal since account is closed. And Soukhni since facility is fully closed too.• Pledge on machines not obtained (1 case): We agreed to maintain to downgrade to low since there is nothing to be done from our side, where we are still waiting for client to finalize the registration of the machines.• Outdated & missing appraisal (1 case): We agreed to maintain. This issue shall be downgraded for clients whom their plots are located in unreachable/ hot spot locations (such as Ganama, whom his plot is located in Deir Zore) and for plots that we only have negative pledge without proxy or retention of title deed such as the case of Hajje and Bitar• Missing documentation for the opening of CIFs for PGs (2 cases): we agreed to remove since MDs are being reported manually. • The applied interest rates following last increases were not formally approved by the borrowers (3 cases): we agreed to remove
23	BBS	CRA	6-12	L	D	***Classification (BBS - 2016):*** Out of the 13 tested regular accounts, we found one case (“Haytham Soubhi Joud”) where the	***Georges Sfeir (General Manager):*** Haytham Joud: rectified.

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
						account movement was weak, as total deposits were below 2 times the facility and the minimum debit balance was above 10% of the facility, in addition to repetitive excesses over the limit. The account should be classified "Watch List – 3" as per CBoS regulations. Moreover, when assessing the borrowers' account movement for classification purpose according to CBoS decree No 902, BBS should remove all inflated transactions i.e. loans or bills proceeds, returned checks, cancelled transactions, and transfers between two accounts pertaining to the same borrower. ***Audit Comments***: The account of Soubhi Joud was classified "Watch List"; hence to remove this point. As to the rest of the issue it was stated by BBS management that 80% of the O/D facilities were already closed and the remaining will also be closed, hence we will keep the issue until all O/D facilities are closed and in the meantime the issue is downgraded to "Low".	
24	BBS	CRA	6-12	L	D	***Excesses not Approved (BBS - 2016):*** We found 2 cases ("Hadaya Motors"; "Ghassan & Hassan Sukar") where excesses for SYP 145M and SYP 36M respectively were approved solely by BBS. These excesses exceeded the allowed amount granted to BBS committee being SYP 10M. BBS should comply with the CPPM which states that	***Georges Sfeir (General Manager):*** The final version of CPPM is under final review in head office; expected to be issued shortly. It includes a new set of authorities. Noting that the mentioned excess of Hadaya was settled.Noting that Hadaya issue to be cleared since the file was sent to CCC after the excess

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
						excesses at the level of BBS should not exceed 20% of the facility with a maximum of SYP 10M, or else an approval should be obtained from BBL. Another option is to update the CPPM accordingly. ***Audit Comments***: The excess of Hadaya is settled. As to that of Hassan Sukar, there is still an LG O/S for SYP 14,918K which is booked with no limit. Hence issue is downgraded to "Low".	date and it was rectified, and Ghassan Succar will be rectified before end of November.
25	BBS	OA	12-24	L	C	***Submission of Reports (126-BBS-OA-015-15):*** We checked the submission date of the reports sent to CBoS/CBoS internal controller during 2014 & 2015, and noted that 12 out of 20 monthly reports were sent to internal controller with a delay ranging from 1 to 6 days. Knowing that during this period, an amount of SYP 300K was paid as penalty for errors and delays in submitting reports, in addition 5 warning letters were received in this regard. Therefore, deadlines set for the submission of reports to CBoS/CBoS internal controller should be respected. ***Audit Comments***: Issue is closed since we checked 12 reports and noted two reports (Income statements of June and July 2017) were sent to the Internal controller with 2 days delay, however the reason of delay was for urgent matter and communicated verbally to the internal controllers	***Georges Sfeir (General Manager):*** Issue should be removed since as of 2017 there is no delay to controllers, except for February due to an error by the Treasury and TPU in entering a wrong SWAP deals on the system at end of January, and no penalty or warning was received. In addition, all reports are finished early and sometimes sent to the central bank on the 13th or 14th, before deadline
26	BBS	CRA	12-24	L	D	***Discrepancies in the Collateral Documentation***	***Georges Sfeir (General Manager):***

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
						(BBS-Assessment of the Credit Administration Unit Activities): 1- The signature of Byblos representatives were missing in 3 PG signed in Vienna (Kuzbari Group); and for the C/G increase signed in Luxembourg (Sharikat Altanmia).2- Sharikat Altanmia: The BOD for the re-election of the GM who signed on the C/G reminders in 2014 and 2016 were not obtained; in addition, no legal opinion was obtained on the enforceability of the C/G vs. EU sanctions on Syria. The MD of the said C/G was not booked due to missing info.3- Eastmed: upon our request, new general assembly minutes of meeting and legal visa were requested revealing that the borrowing right was changed prior to the signature of the last offer letter. Although a new offer letter was signed in Nov. 2016, however, the borrowing right was not confirmed by the legal unit since it was not specified in the latest general assembly.4- The GC were not signed by all guarantors in the cases of Kuzbari Group & Lead. ***Audit Comments***: Point 1 is cleared since the guarantors live abroad and their signatures were conformed. For point 2, BBS management should obtain CCC waiver of the legal opinion, as to the un-booked MD, it is cleared since the C/G is being reported manually. Hence, issue is downgraded to	1- Kuzbari Group: The guarantors live out of the country; & they already have CIFs in BBS and their signatures were confirmed by our team/branch; we have a very good relationship with the group; Altanmia: The original corporate guarantee which was signed in presence of BBE employee covers more than 130% of total facility; the signature of the GM on the increase was confirmed.2- Altanmia: The initial Guarantee was signed by Mr. Hrechdakian who had the authority to do so at the date of signature of the initial C/G, accordingly, the C/G is enforceable; the C/G is prepared using the forms of BBS and according to Syrian laws and considered enforceable in Syrian courts; regarding the MD, the guarantor is not willing to sign the documents KYC for the time being. I suggest to clear due to the inexistence of risks and being an administrative issue related only to Byblos internal procedure but is doesn't affect the enforceability at all 3- Eastmed: rectified.4- Noted.

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
						"Low".	
27	BBS	OA	>24	L	C	***Unchecked CBOS reporting and unauthorized signatories (102-BBS-11-08):*** The dealer is manually filling two CBOS reports, Fx open positions template # 2 ("open position" that does not show anymore total long and total short as required it only shows them in the net position) and template # 3, signing them as well as an accountant officer; however, both reports are not signed by the General Manager (or someone formally delegated by him) as required by the decision # 362\ ١ب\ن issued by the Money and Credit Council. We recommend the automation of these reports. In addition to the signature of the dealer, these reports should be signed by someone officially appointed by the GM. As for template # 2 we recommend that management coordinates with BT in order to find a solution for FX open positions to show the long & short positions separately and not in the net position. ***Audit Comments***: Issue is closed since BBS used to send Fx open positions template # 2 ("open position") since 2008 and no objection form CBOS was received concerning the template	***Georges Sfeir (General Manager):*** Please note that we agreed with CBOS to send the report ''template 2'' mentioning the net position only. Please refer to our letter Nr. 200/TR/72 dated 14/09/2009. We suggest to remove this issue.
28	BBS	OA	>24	L	D	***Financial Reporting (085-OA-13-06):*** The accounting department in Byblos Bank S.A.L. is	***Georges Sfeir (General Manager):*** Same as issue no. 3, 80% of reports are

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
						still receiving monthly manually prepared financial reports from Byblos bank Syria rather than system generated reports. ***Audit Comments***: issue is downgraded to low since part of the required reports are generated from access database	generated from access database after 3 accountants attended an advance course on Access. Furthermore, 2 reports were requested from BBL which will facilitate the 2 main reports requiring a lot of time (Legal Lending Limits and Classification). They are under testing now. In addition, we are checking for a local provider of reporting software or Business Intelligence. We suggest to merge this issue with issue No.3.
29	BBS	OA	>24	L	D	***Defaulting commercial clients (BBS Loan Recovery - 2013):*** Defaulted commercial clients were not flagged on Globus as LR nor subject to override messages requiring proper approvals and to control related deposits and withdrawals thus, jeopardizing the monitoring of accounts' movements. Moreover, the defaulted commercial clients' files were solely handled by the commercial department causing a potential conflict of interest. Ultimately, such cases should be transferred to LRU according to a validated process. ***Audit Comments***: Issue is downgraded to low since a report from web reproting system is extracted for all defaulted commercial clients. This report is checked by the RM, the head of unit and the head of department then sent to BBL Credit Risk Management. However the CIFs are not yet flagged	***Georges Sfeir (General Manager):*** This issue shall be considered low The issues raised is due to the inexistence of Commercial LRU department within the Organization Chart of BBS, accordingly the process is handled by Commercial Department as they have the relation with clients and the need to maintain the relation, if possible, and collect whatever possible.- Regarding the Potential Collusion mentioned in your assessment, there is no probability of this illusion for the following reasons:*The different layer in the commercial department which means that each file is handled by an RM supervised by a Senior RM, Head of Unit, and Head of Commercial Department.* There is close follow up done by each layer of the commercial department.* Unpaid of commercial portfolio is being

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
						as LRU.	followed up frequently and closely by Risk Department and Credit Committee with case by case follow-up. Accordingly, relevant committees are being updated frequently on all clients including the defaulted ones.- Creation of Commercial LRU Department in the future is a good idea provided the proper set-up is available (existence of Risk Department in BBS for corporate and MM) and the availability of needed qualified personnel with good experience in Credit and Legal aspects.- All cases mentioned above have been rectified as Commercial Department is following the appropriate procedures and getting the proper approvals in all cases. Also relevant committees are being updated frequently on all the defaulted clients' positions.
30	BBS	OA	>24	L	D	***Rescheduled loans (BBS Loan Recovery - 2013):*** Absence of rescheduled loans report to ensure that appropriate approvals were granted and new conditions applied. ***Audit Comments*** : Issue is downgraded to low since a proper control is conducted on the rescheduled loans by the commercial, CAD staff and internal controller staff	***Georges Sfeir (General Manager):*** We already have excel report mentioning all details concerning the rescheduled loans i.e Client, CIF, amount, early settlement + interest, new amount, monthly bills, etc… Noting that we have only 2 rescheduled loans till date. We repeat our reply sent to you on 30/06/2017: This issue should be removed, since after referring to BT, projects & system development, BBL LRU and International

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
							support dept they assured that your request is not available on globus. We suggest to remove this issue.
31	BBS	ITA	>24	L	C	***Missing and/or erroneous Miscellaneous Deals (MDs, Off Balance Sheets) (059-ITA-07-09):*** Some MDs were missing, others were erroneously created. Excluding the supplementary records, 13.7% (222 out of 1612) of active cards do not have MD references in Globus and 19% (307 out of 1612) of active cards are created with an amount different than MD limit references in Globus. MD amounts should be rectified and a clear process is to be drafted to continuously report missing and improper MDs versus delivered and active cards. ***Audit Comments***: we reconciled between the extract MDs from T24 and the list of credit cards provided by CSC and noted two credit cards missing the related MDs (CIF 158319, 403810) and two MDs related to one client CIF 158186. The 3 exceptions will be rectified. Therefore, the issue to be closed.	***Georges Sfeir (General Manager):*** Solved.
32	BBS	ITA	>24	L	D	***No proper credit and charge cards management system (059-ITA-07-09):*** Part of the charge/credit cards process is manual which might be subject to human error. Thus, a delivery date for acquiring a Card Management System to manage credit and charge cards is to be	***Georges Sfeir (General Manager):*** Solved using web GUI application.

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
						specified. ***Audit Comments***: The issue is not yet solved, but using web GUI application reduce the risk and manual process. Therefore the issue will be downgraded.	
33	BBS	ITA	>24	L	D	***CID application was not in place (044-IT-BBS-04-10):*** We noted that the Credit Information Department (CID) was using different data sources to search on customer information. The search was being manually performed and with no support system. It is worth mentioning that a new CID application is being developed for BBL and it can be used, once finalized, in BBS after assessing the interfaces. A CID application is recommended to be deployed in BBS in order for customer information to be centralized in one application/database. This application should have an efficient and effective search engine. Therefore, we recommend CID department to follow up with BBL on the CID application delivery date. ***Audit Comments***: Since request for change was requested and sent to BT Lebanon, the issue will be downgraded.	***Georges Sfeir (General Manager):*** Log Nr. SD000590359 was sent to BT Lebanon on 26/11/2014 and still pending till date.
34	BBS	ITA	>24	L	C	***Authorization activities should be reviewed (170-BBS-IT-022-14):*** The approval of Mr. Georges Sfeir (Syria GM) on the "Authorization" activities performed by Ms.	***Georges Sfeir (General Manager):*** A daily report is generated, reviewed and signed by the GM. We suggest to remove this issue.

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at September 30, 2017	Reply as at September 30, 2017
						Dina El Najem can't be easily tracked. As per Ms. Najem, records could be identified in the mailbox. Consequently unauthorized transactions could be performed without proper authorization from Syria GM. It is worth mentioning that Ms. Dina El Najem (Executive Secretary) has same user profile and authorization privileges as Mr. Georges Sfeir (Syria GM). This was requested back in June 2011 from Information Security Department. We highly recommend to have an activity report generated on daily basis for Ms. El Najem. This report should be reviewed and signed on regular basis by the GM and should be properly maintained for future audit review. ***Audit Comments:*** Upon checking the activity report generated during 7, 8 , 9 we noted that the report is printed and signed by the GM for the test period. Please note that the days where no report was generated it is whether weekend or holiday or no report as we checked the web Reporting app. Therefore issue to be closed.	

APPENDIX III - INDEX OF BRANCHES ISSUES

PROCESS / ISSUES	O/S	# of New Issues	#of Recurrent Issues	% of Branches With Recurrent Issues	Risk
GENERAL SUPERVISION					
EOD Verification Process *(Journals by User are checked and signed by a non-related employee against related daily vouchers; and required EOD Reports are signed by branch management)*	**0**	0	0	0%	H
Monthly Controls *(Controls should be performed by the branch management over sensitive banking instruments on a monthly basis)*	**1**	1	0	0%	M
Handing-Over Process *(Handing-over of banking instruments from a custodian to a replacement staff upon sudden and annual leaves)*	**2**	1	1	11%	M
Management Responsibilities *(Branch Management checks the required documentation before giving any authorization, communicated e-mails and instructions to staff, circulates the branch, and solves clients' complaints. Branch Manager does not have excess familiarity with staff or clients)*	**4**	4	0	0%	H
Annual Leaves *(All staff should take 14 days of uninterrupted vacation unless properly approved)*	**7**	3	4	44%	H
Custody & Classification of Documents *(Blank forms are kept in locked cabinets and account opening contracts for active CIFs as well as other originals should be kept in locked fireproof cabinets)*	**1**	1	0	0%	M
Custody & Management of Keys *(A register for the allocation of keys exists, and is properly maintained. Keys are segregated to ensure dual access to all sensitive areas such as the strong room)*	**0**	0	0	0%	M
TOTAL	**15**	**10**	**5**		
ACCOUNT OPENING					
Account Opening Contracts *(Every document relating to the account opening file should be initialed by the compliance officer in the branch (ABM). Contracts are properly filled, approved and filed; and no information is missing, mainly date, address, phone, etc...)*	**9**	4	5	56%	H

PROCESS / ISSUES	O/S	# of New Issues	#of Recurrent Issues	% of Branches With Recurrent Issues	Risk
TOTAL	**9**	**4**	**5**		
CLIENTS' INSTRUCTIONS					
Fax Instructions *(Clients transacting via fax should have signed the required fax instruction form and attached the required documents)*	**6**	4	2	22%	H
Standing Instructions *(Standing Orders should be properly handled, recorded on the register and inputted in Globus System)*	**5**	4	1	11%	M
Stop Payment Instructions *(Stop Payment Instructions should be properly handled, recorded on the register and inputted in Globus System)*	**1**	1	0	0%	H
Outward Transfers *(Approved by relating clients, accounting entries properly booked, commission collected, swift received)*	**0**	0	0	0%	M
Branch Correspondence *(All bank's correspondence are backed up by an original request, duly signed and clear content not engaging the bank in any way.)*	**5**	4	1	11%	M
TOTAL	**17**	**13**	**4**		
PROXIES					
Clients' Proxies *(Clients' signatures on Proxies are verified for authenticity; and ID of the proxy holder should be obtained and verified to the original. Proxies should be approved by Branch Management; and recorded both on the register and on Globus)*	**4**	3	1	11%	H
Proxies for Employees *(A prior approval from BMGT should be obtained to issue a proxy for any staff member)*	**0**	0	0	0%	H
TOTAL	**4**	**3**	**1**		
CASH MANAGEMENT					
Cash Counts *(Tellers' tills are counted on a weekly surprise basis and the process is properly documented)*	**2**	1	1	11%	H
Cash Limits *(Tellers respect the cash limits preset by the insurance policy)*	**1**	1	0	0%	H
Cash Management *(Entrance to the vault is dually done and properly supervised by a member of branch management. Cash transportation is done with the presence of the Main Teller and ABM/BM in a secure place)*	**7**	4	3	33%	H

PROCESS / ISSUES	O/S	# of New Issues	#of Recurrent Issues	% of Branches With Recurrent Issues	Risk
ATM Replenishment (*ATM replenishment is securely and dually performed)*	**1**	1	0	0%	H
TOTAL	**11**	**7**	**4**		
ANTI-MONEY LAUNDERING					
Anti-Money Laundering Process *(Economic Right of Ownership form should be filled with every account opening contract, and when branch management has any suspicions on incoming transactions)*	**9**	0	9	100%	M
TOTAL	**9**	**0**	**9**		
PLASTIC CARDS MANAGEMENT					
Plastic Cards Management (*Plastic cards and pin codes are properly handled by separate custodians, placed in a safe location and periodically controlled by branch management)*	**2**	2	0	0%	H
TOTAL	**2**	**2**	**0**		
CHECKS					
Banker Checks *(Banker checks are properly approved before issuance, commission is properly collected)*	**0**	0	0	0%	H
Returned Checks *(Returned checks are properly handled and documented; and commission collected)*	**1**	1	0	0%	M
Clients' Checkbooks *(Checkbooks should not be held at the branch for more than 4 months; and their custody and delivery must be controlled by branch management)*	**3**	3	0	0%	M
Byblos Checks Paid at the counter *(Byblos cheques paid at the counter are stamped as Paid)*	**2**	2	0	0%	M
TOTAL	**6**	**6**	**0**		
TELLERS' TRANSACTIONS					
Teller Transactions *(Queue line is properly enforced, and tellers are not handling more than one client at a time and are securing their workstations when away. Cash is paid directly to and received from the customer and not through a third party)*	**5**	5	0	0%	H

PROCESS / ISSUES	O/S	# of New Issues	#of Recurrent Issues	% of Branches With Recurrent Issues	Risk
Verification of Clients' Signatures *(Client's signature on all documents is properly verified with Sig-Cap or the specimen of signature in the branch)*	**2**	1	1	11%	H
Stamps *(Stamps are properly secured, recorded and maintained)*	**1**	1	0	0%	L
TOTAL	**8**	**7**	**1**		
RETAIL LOANS & BILLS					
Retail Loan Review *(Loans are properly granted to the client and in accordance to requirements in the internal policies and procedures; proper approval and required guaranties are obtained. Files are properly handled by the custodian, and placed in a secure place)*	**0**	0	0	0%	H
Bills Management *(Bills are not under the tellers' custody, the delivery of bills is only performed once the custodian ensure the payment and proper processing of the bill. Monthly inventory of the bills is performed by a person other than the custodian and properly documented)*	**0**	0	0	0%	M
TOTAL	**0**	**0**	**0**		
INACTIVE ACCOUNTS					
Inactive Accounts *(Dormant accounts are properly activated and approved by branch management after following the required procedures; including obtaining client's signature on a confirmation of balance along with signature verification & copy of client's ID).*	**2**	2	0	0%	H
TOTAL	**2**	**2**	**0**		
SAVING & DEPOSIT TAKING					
Custody and Controls over Saving Passbooks *(Transfers between the global and daily stock of passbooks is properly documented and properly performed and reconciliation is performed)*	**0**	0	0	0%	M
Replacement/Closure/Cancellation of Saving Passbooks *(Client signature authorizing the transfer to the new passbook is verified, client signature indicating that the funds have been fully received is verified, new passbook number is properly recorded on the register and on the old passbook. Client's physical*	**0**	0	0	0%	H

PROCESS / ISSUES	O/S	# of New Issues	#of Recurrent Issues	% of Branches With Recurrent Issues	Risk
presence was verified or proper written instructions)					
Closed Accounts *(Account closure is properly conducted, there are no embezzlement of funds in the closure process. All joint closed accounts are dually signed by all parties).*	**0**	0	0	0%	H
Safe Boxes *(Safe box rentals should be backed up by properly signed contracts. Provisions should be available and yearly rental fees properly booked).*	**1**	1	0	0%	M
Accounts with Remaining Small Balances *(All account showing non-significant small balances are closed)*	**0**	0	0	0%	M
TOTAL	**1**	**1**	**0**		
LG & LC					
Issuance/Renewal of LGs *(LG requests are properly signed by the client; and contain signature verification and branch management approval. Fiscal stamps are properly collected and affixed; and commissions are properly collected).*	**0**	0	0	0%	M
Closure/Cancellation of LGs *(Closed or cancelled LG is obtained, all outstanding fees are collected, original LG should be stamped as cancelled, the date of cancellation should be recorded and branch management's approval of the closure or cancellation should be obtained. Cancelled or closed LGs should be recorded as such in the register)*	**0**	0	0	0%	M
LC Process *(LC documents are kept in a fire-proof cabinet and delivered to the concerned client after ensuring the settlement)*	**0**	0	0	0%	M
TOTAL	**0**	**0**	**0**		
GENERAL SECURITY & BANK'S IMAGE					
General Security & Bank's Image Issues *(Branch management is taking the necessary measures to maintain the security of the branch's premises. The branch premises are kept in good shape to reflect the bank's image and reputation)*	**7**	6	1	11%	L
TOTAL	**7**	**6**	**1**		
GRAND TOTAL OF BRANCHES ISSUES	**91**	**61**	**30**		

IV - INDEX OF CBOS OUTSTANDING ISSUES

بند	الفترة الزمنية	المخاطر	الوضع الحالي كما في ٣٠ أيلول ٢٠١٧	الوضع الحالي كما ٣٠ ايلول ٢٠١٧	تعقيب المراقب الداخلي
١	٢٤<	متوسطة	اعتماد أدلة سياسات و اجراءات ادارة المخاطر، و خطة الطوارىء في المصرف حيث تم تحديد نهاية العام الفائت موعدا لذلك.	تم الانتهاء من إعداد سياسات إدارة مخاطر الائتمان وسيتم عرضها على اللجنة الإدارية وإدارة الموجودات والمطاليب للمصادقة في ٢٠١٧/٠٩/٢٨ ثم على مجلس الإدارة في منتصف الشهر العاشر للمصادقة النهائية.	الملاحظة قائمة حتى يتم المصادقة على أدلة سياسات و اجراءات ادارة المخاطر، و خطة الطوارىء من قبل مجلس الادارة
٢	٢٤<	متوسطة	اعتماد دليل إرشادي لتصنيف البيانات وفق درجة حساسيتها حيث تم تحديد نهاية العام الفائت موعدا لذلك.	لم يرد اجابة بعد سنوافيكم بها عند الحصول عليها .	الملاحظة قائمة كونه لم يرد رد بخصوص المراجعة النهائية من قبل بنك بيبلوس لبنان
٣	٢٤<	متوسطة	استمرار عدم ايلاء الأهمية اللازمة لنتائج تقرير التدقيق الداخلي حيث تبين وجود ٧١ ملاحظة لم تتم معالجتها بعد ٥٣% منها تعود لأكثر من سنتين و قد بلغ عدد الملاحظات التي تم تلافيها بين تقريري الربع الثاني و الربع الثلاث ٣ من اصل ٧٤.	كما سبق وذكرنا تم إحالة التقرير المرفوق بتاريخ ٢٠١٧/٦/٣٠ إلى مدير الدعم الجديد السيد شعلان البيطار وقد رد على القسم الأكبر من الملاحظات وسيستمر بملاحقة جميع النقاط لاطفائها قبل ٢٠١٧/١٢/٣١	الملاحظة قائمة حتى يتم حل كافة الملاحظات التي تظهر ضمن تقرير التدقيق الداخلي وذلك حتى بالنسبة للملاحظات التي تتعلق بتطوير النظام المصرفي، حيث اما ان يتم تطوير النظام المصرفي او الاستعانة بانظمة داعمة له.
٤	٢٤<	متوسطة	عدم الالتزام بتقديم بيانات مالية مدققة و محدثة للزبائن عن السنوات الثلاث السابقة للمنح، فقد تم التنويه ضمن رد المصرف انه في الحالات التي يتم تقديم بيانات غير مدققة فان المصرف يقوم بالتحقق من صحة الميزانيات المقدمة من الزبون و ذلك بالكشف عن مستنداته و أنظمة الشركات المستخدمة لديه الأمر الذي يعتبر غير مقبول وفقا للمتطلبات الرقابية و انه بالمقابل لابد من اجراء دراسة من قبل المصرف لكن انطلاقا من البيانات المالية المدققة.	نحن بالتزام كامل بتعليمات المصرف المركزي بهذا الخصوص و في حال عدم إلتزام العميل نقوم بتخفيض التصنيف حسب قرارات المصرف المركزي. أقترح إزالتها لأن الموضوع يتم مراجعته من قبل المراقبين الداخليين و في حال وجود مخالفة نقوم بشكل تلقائي بإجراء اللازم حسب تعليمات و قرارات مصرف سورية المركزي.	الملاحظة قائمة حيث انه من شروط الحصول على اي تسهيل ان يقوم العميل بتقديم بيانات مالية عن الثلاث سنوات السابقة وذلك حسب متطلبات القرار ٩٥.
٥	٢٤<	متوسطة	عدم قبول رد المصرف بالنسبة لاتخاذ الإجراءات التصحيحية بخصوص تحديث بيانات العملاء حيث انه نتيجة للأوضاع الراهنة يتم تمديد بعض التسهيلات دون تجديد مستنداتها بسبب عدم امكانية الحصول عليها .	نفس التعليق السابق (إن مصرفنا يصر على إجراء التجديد السنوي لجميع الملفات بالاعتماد على أحدث ميزانيات وأرقام مالية موجودة لآخر سنة مالية تسبق تاريخ التجديد. في حال عدم توفر هذه المعلومات، فإن مصرفنا لا يقوم بالتجديد السنوي لهذه الملفات وإنما نقوم بإجراء دراسة مختصرة تتضمن حركة الحساب وتحليل مركزية المخاطر وملخص عن آخر الاجتماعات مع العميل ونقوم بتمديد تاريخ استحقاق الملف لمدة تتراوح بين شهر وثلاث أشهر فقط ريثما يتم استكمال	الملاحظة قائمة حيث انه من المفترض حسب القوانين والقرارات ان يتم تجديد ملف العميل بعد تجديد كافة المستندات مرة على الاقل سنويا حسب متطلبات القرار ٩٥.

بند	الفترة الزمنية	المخاطر	الوضع الحالي كما في ٣٠ أيلول ٢٠١٧	الوضع الحالي كما ٣٠ ايلول ٢٠١٧	تعقيب المراقب الداخلي
				المعلومات الناقصة وإجراء التجديد السنوي حسب الأصول.) أقترح إزالتها أو تخفيضها لأن الموضوع يتم مراجعته من قبل المراقبين الداخليين و في حال وجود مخالفة نقوم بشكل تلقائي بإجراء اللازم حسب تعليمات و قرارات مصرف سورية المركزي.	
٦	٢٤<	متوسطة	عدم دقة رد المصرف بأنه قد تم وضع ضوابط دقيقة لمنح تسهيلات الحساب الجاري المدين حيث لم يتم تزويد المراقب المصرفي الداخلي بها في المهمة المنفذة لمتابعة رد المصرف على نتائج المهمة الرقابية.	صدرت ضوابط خاصة بموجب القرار رقم ٢٨ و قد وضع موضع التنفيذ حسب المهل المذكورة في القرار. كما تم إلغاء جميع الحسابات الجاري المدين المنتجة و معالجتها بحسب مندرجات القرار المذكور و بالتالي لم يعد هناك حسابات من هذا النوع. أرجوا مسح هذه النقطة.	الملاحظة قائمة حتى يتم التاكد من توفيق اوضاع الزبائن حسب متطلبات القرار ٢٨/م.ن وهذا ما سيتم التاكد منه خلال تنفيذ مهمة تصنيف الديون عن الربع الثالث ٢٠١٧.
٧	٢٤<	متوسطة	التزويد بميثاق عمل لجنة التسليف المركزية بشكل بين الصلاحيات و الأعضاء وفق أخر تحديث لها.	تم إرسال المسودة النهائية إلى الجهات المعنية في الإدارة العامة لإجراء المراجعة الأخير و قد تضمنت جميع المستجدات الصادرة عن الجهات الرقابية و الوصائية الحكومية . سيتم إقرارها قبل نهاية العام . أقترح تخفيضها لمخاطر منخفضة وذلك لكون مصرفنا ملتزم بجميع القرارات الصادرة عن الجهات الرقابية و الوصائية و حتى و إن تعارضت مع الإجراءات الداخلية و ميثاق العمل. و بالتالي و بإعتبار مصرفنا ملتزم بالقرارات و هي قرارات شاملة للكثير من نواحي العمل التسليفي , يبقى دور الميثاق الداخلي يشمل النواحي المحدودة التي لا تغطيها القرارات الرسمية .	الملاحظة قائمة حتى يتم تحديث دليل السياسات و الإجراءات بما يتوافق مع القرارات التي تصدر عن الجهات الرقابية.
٨	٢٤<	متوسطة	تحديث دليل السياسات و الإجراءات الخاص بالعمليات الائتمانية حيث تم تحديد نهاية العام الفائت موعدا لذلك، بما في ذلك تحديد الضمانات المقبولة لقاء تقديم تسهيلات ائتمانية و أسس منح التسهيلات دون ضمانة مقابلة، و المتطلبات المتعلقة بتجديد الملفات الائتمانية، المتطلبات و الضوابط الداخلية الواجب اتباعها في بعض الحالات الاستثنائية مثل حالة وفاة العميل الممنوح تسهيلات ائتمانية.	تم إرسال المسودة النهائية إلى الجهات المعنية في الإدارة العامة لإجراء المراجعة الأخير و قد تضمنت جميع المستجدات الصادرة عن الجهات الرقابية و الوصائية الحكومية . سيتم إقرارها قبل نهاية العام . أقترح تخفيضها لمخاطر منخفضة وذلك لكون مصرفنا ملتزم بجميع القرارات الصادرة عن الجهات الرقابية و الوصائية و حتى و إن تعارضت مع الإجراءات الداخلية و ميثاق العمل. و بالتالي و بإعتبار مصرفنا ملتزم بالقرارات و هي قرارات شاملة للكثير من نواحي العمل التسليفي يبقى دور الميثاق الداخلي يشمل النواحي المحدودة التي لا تغطيها القرارات الرسمية.	الملاحظة قائمة حتى يتم تحديث دليل السياسات و الإجراءات بما يتوافق مع القرارات التي تصدر عن الجهات الرقابية.

Appendix V -Index of Cleared CBoS Issues

بند	الفترة الزمنية	المخاطر	الوضع الحالي في ٣٠ حزيران ٢٠١٣	رد كما ٣٠ ايلول ٢٠١٧	تعقيب المراقب المصرفي الداخلي
١	٢٤<	متوسطة	عدم قبول رد المصرف بخصوص عدم وجود طلب للحصول على تسهيلات ائتمانية أو زيادة التسهيلات الائتمانية و تحديد كيفية تسديدها ضمن الملف الائتماني حيث أن المطلوب هو الحصول على ذلك في المرحلة الأولى للمنح.	معظم ملفاتنا تم استكمالها عن طريق توقيع العميل على الطلب المذكور أو بتوقيعه على كتاب تسهيلات يوضح جميع التسهيلات و الشروط المطبقة. هذا لا ينطبق على الحسابات التي تنتمي إلى فئة الديون الغير منتجة و التي تم تحويلها إلى الدائرة القانونية علما أن جميع الحالات للديون المنتجة تم حلها- يجب إعادة التدقيق و مسح النقطة .	ازالة الملاحظة كونه يتم التاكد من هذه النقطة من خلال دراسة عينة من الملفات الائتمانية خلال مهمة تصنيف الديون الربعية .
٢	٢٤<	متوسطة	عدم قبول رد المصرف لجهة عدم إرسال كتاب إخطار بالتسهيلات الممنوحة للعميل و ذلك من ناحيتين الأولى أن يتضمن الملف نسخة من الكتاب المرسل من المصرف، الثانية هو أنه في حال وجود العميل المتكرر خارج القطر فمن المستحسن الطلب اليه توكيل من يراه مناسبا لمتابعة المواضيع المتعلقة به مع المصرف أو الاتصال بوسائل الاتصال الحديثة معه لزوم اتمام التواقيع.	نجميع الملفات أصبحت مستكملة ما عدا بعض الملفات من ضمن فئة الديون غير المنتجة و الملفات المحولة للقسم القانوني - يجب مسح هذه النقطة.	ازالة هذه الملاحظة كونه يتم التحقق منها من خلال دراسة عينة ملفات ائتمانية خلال مهمة التصنيف الربعية.
٣	٢٤<	متوسطة	التزويد بالضوابط المعتمدة من قبل المصرف بخصوص منح تسهيلات لبعض العملاء ممن يتوافر حولهم معلومات سلبية تجاه تسديد التزاماتهم تجاه المصارف الاخرى .	لا يتم منح لأي عميل مصنف في مصارف أخرى و ذلك حسب تعليمات مصرف سورية المركزي. - يجب مسح هذه النقطة.	ازالة هذه الملاحظة حيث يتم التاكد منها خلال مهمة التصنيف الربعية.